

Unit III: Startup Foundational Analysis

Environmental analysis

- Process of scanning, monitoring, and interpreting external forces that influence a new venture.
- Helps entrepreneurs identify **opportunities**, **threats**, and **strategic directions**.
- Involves examining trends in:
 - **Economic environment**
 - **Industry environment**
 - **Competitive environment**
 - **Technological, social, and political factors**



SWOT ANALYSIS



Entrepreneurship ecosystem



Entrepreneurship ecosystem

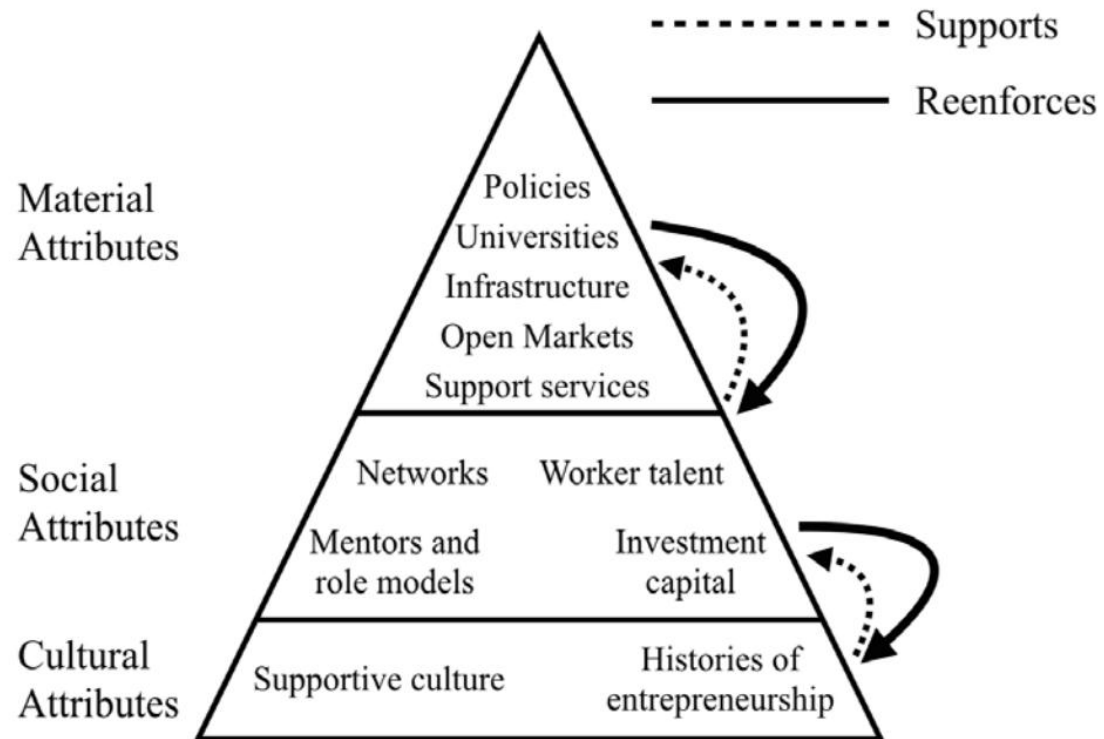
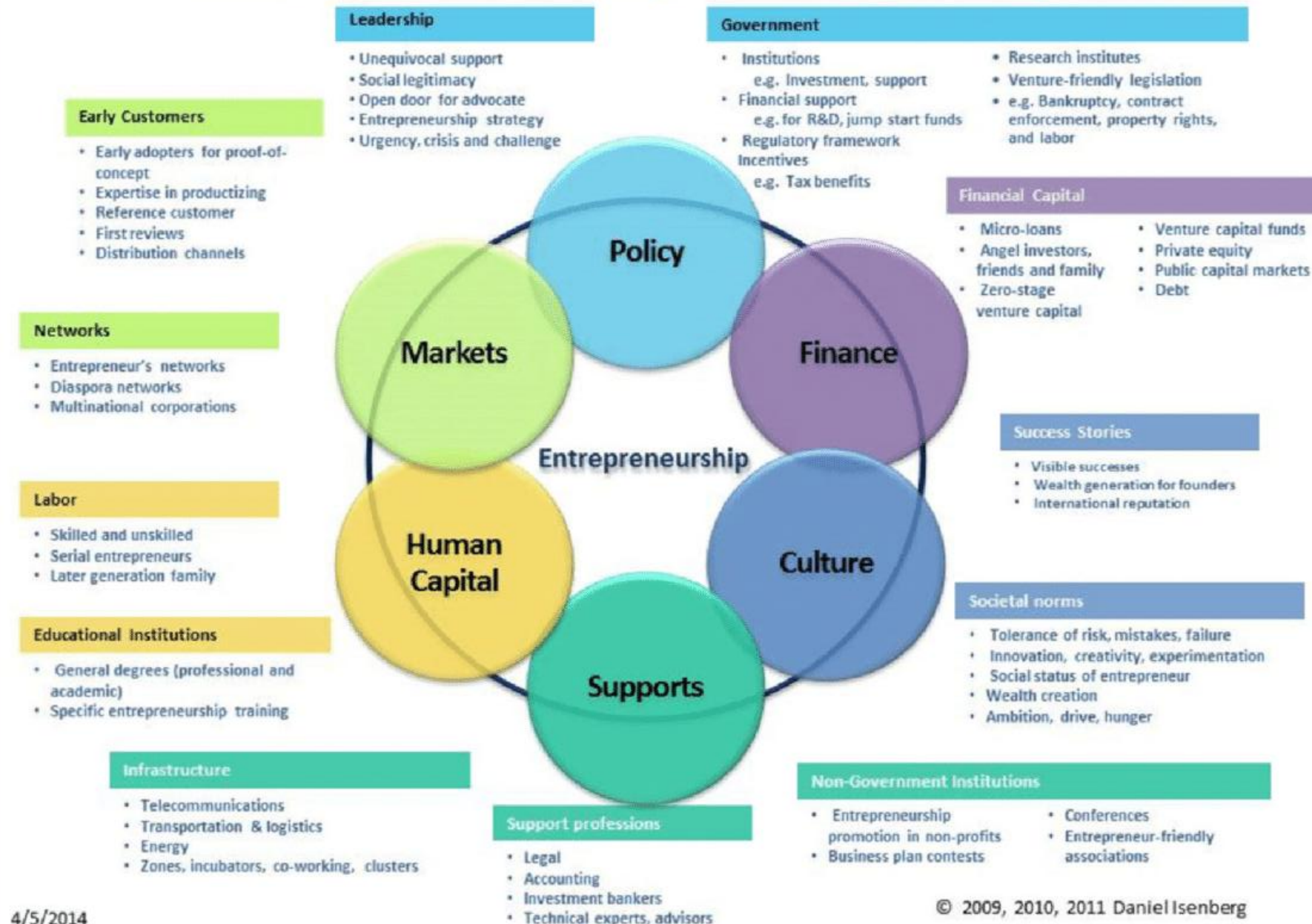
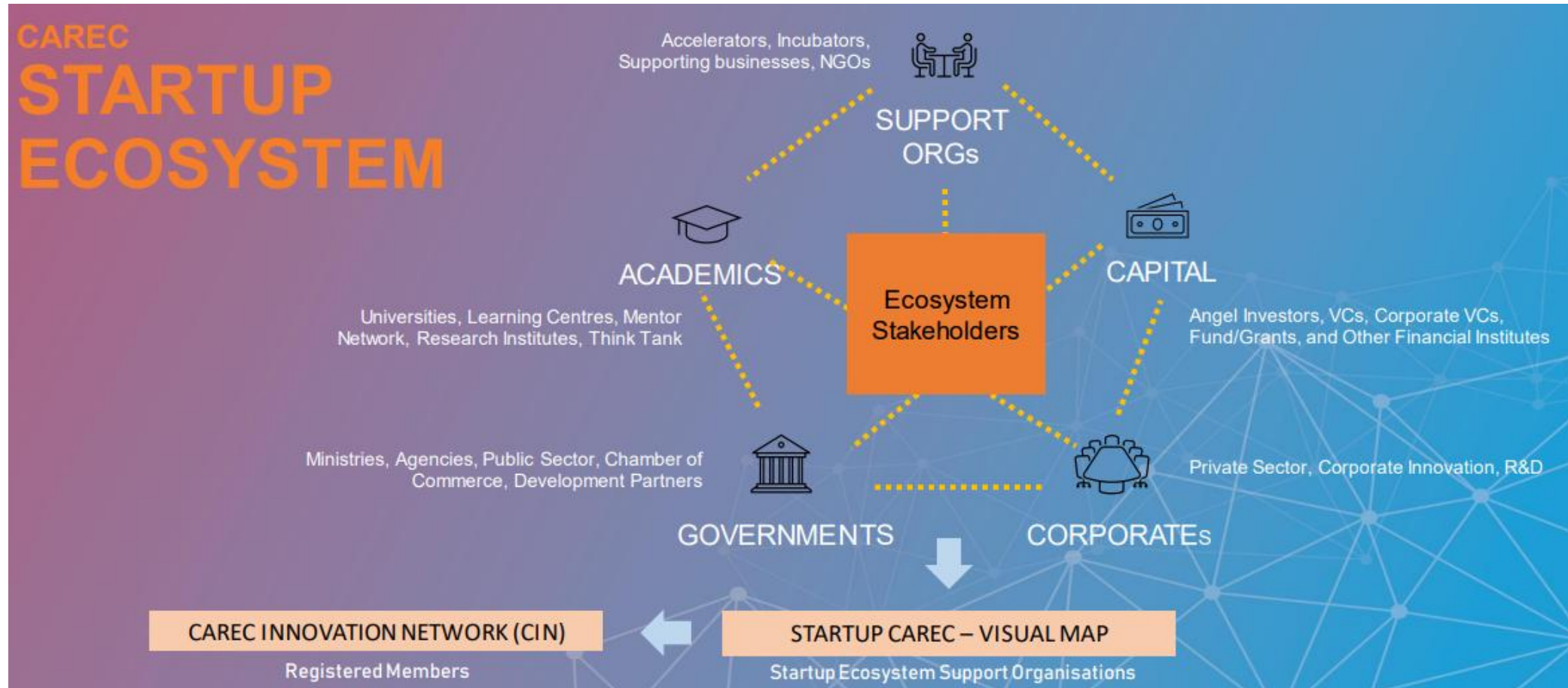


Figure 1. Relationships between attributes within entrepreneurial ecosystems (Spigel, 2015)

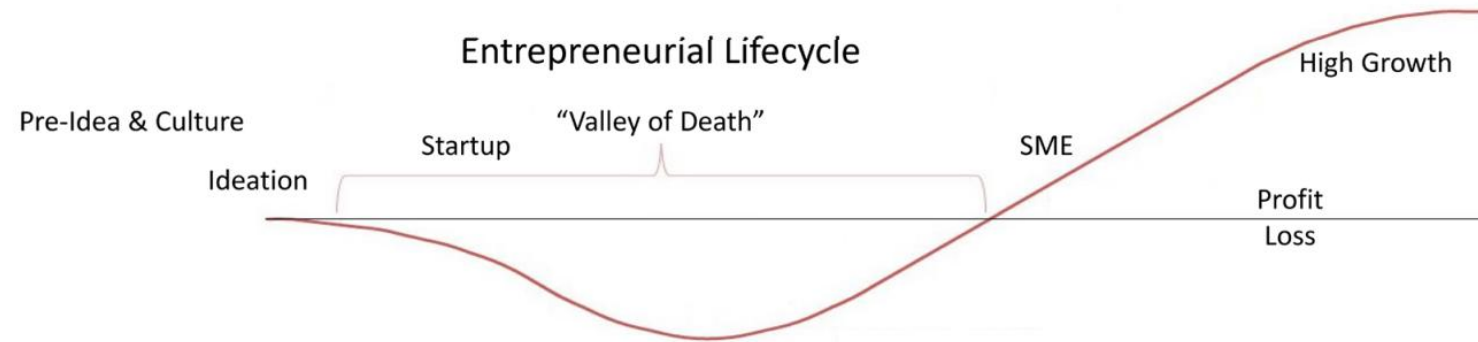
Domains of the Entrepreneurship Ecosystem



Entrepreneurship supports and barriers



Stakeholder interface canvas tool



Entrepreneurship Phase	Pre-Idea	Ideation	Startup	The "Valley of Death"	SME
Entrepreneurs	Entrepreneurial interest	Engage with problems	Develop business models	Build collaboration	Expand
Finance	Research funding	Seed funding	Angel investment	Venture capital	Business finance & loans
Entrepreneurial Support	Entrepreneurial events	Hackathons & competitions	Coworking & support	Incubators & accelerators	Business associations
Private Sector	Success stories	Research programs	Lab programs	B2B & support services	Skill training programs
Academia	Entrepreneurial community	Basic research	Spin offs	Soft skill training	Human capital
Public Sector	Vision & strategy	IP & R&D support	Tax support	Public procurement	Trade policy

Barriers to Entrepreneurship

**Financial
Barriers**



**Regulatory
Barriers**

**Lack of Access to
Networks and
Resources**

**Cultural and
Social Barriers**



Entrepreneurship supports and barriers

Entrepreneurship Supports

- Policy Support: tax benefits, simplified registration, startup-friendly laws
- Financial Support: seed funding, VC, crowdfunding
- Educational Support: entrepreneurship programs, workshops, technical training
- Institutional Support: incubators, accelerators, business networks
- Technological Support: access to tools, cloud platforms, innovation labs
- Market Support: export promotion, business fairs, e-commerce platforms

Entrepreneurship Barriers

- Economic Barriers: limited finance, high entry costs
- Regulatory Barriers: bureaucratic hurdles, weak IP protection
- Market Barriers: competition, small customer base
- Infrastructure Barriers: poor ICT, weak transport/logistics
- Cultural Barriers: fear of failure, low risk tolerance
- Skill Barriers: lack of technical or managerial capability

Competitor analysis

- Competitor analysis is the process of **evaluating existing and potential rivals** in the market.
- Competitor analysis is the process of identifying competitors and studying their strengths, weaknesses, and strategies to improve your own business and gain a competitive advantage.
- Sources of competitive advantage include factors like [product differentiation](#), [price and cost leadership](#), [customer service](#), [strong brand marketing](#), and [superior technology or innovation](#).
- To identify competitors, look for direct (similar products, same audience) and indirect (same product, different audience) competitors.
- Helps entrepreneurs understand:
 - Market positioning
 - Industry structure
 - Competitor strengths & weaknesses
 - Gaps and opportunities in the market

Identifying Competitors

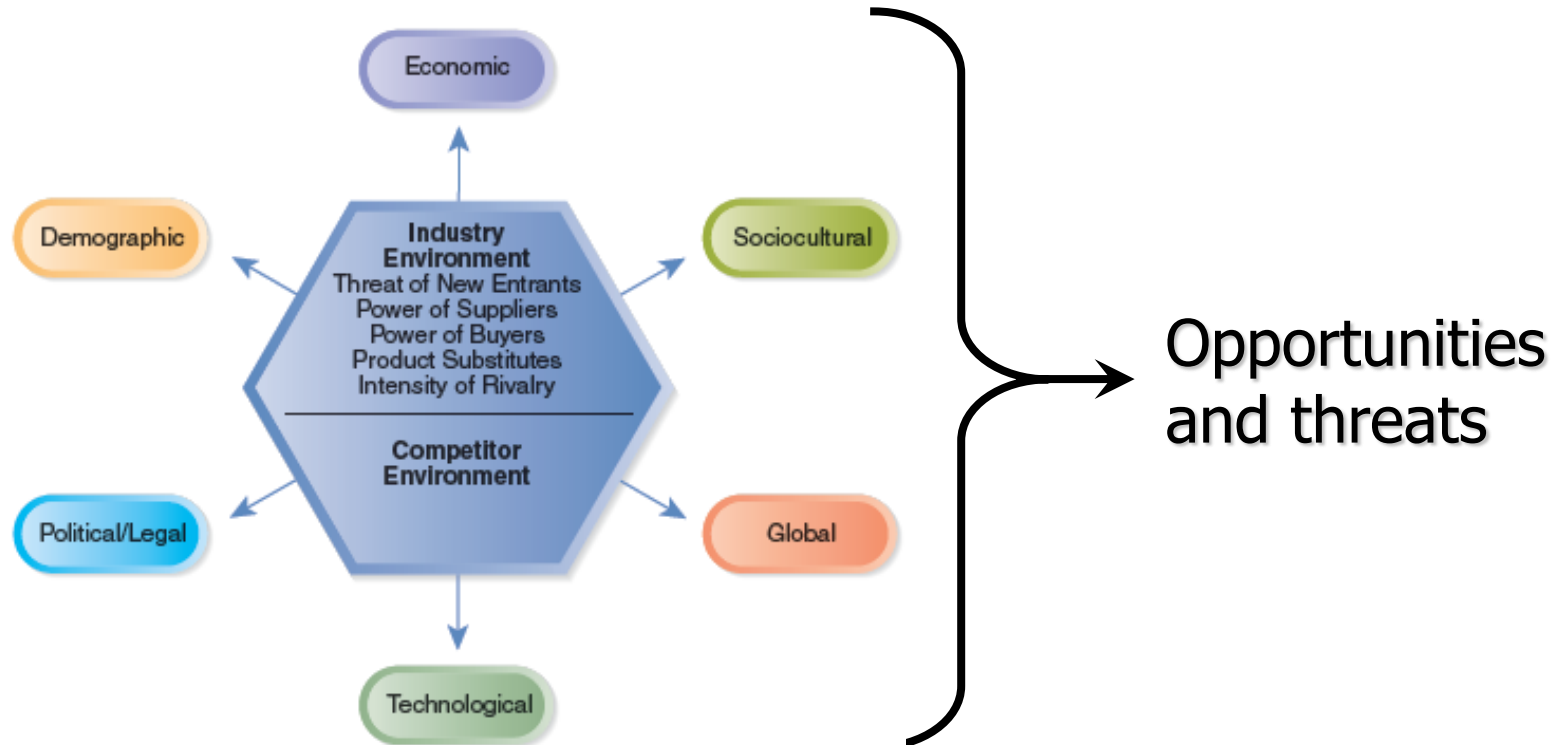
- ✓ Market Research: Searching online for products/services and analyzing the results helps identify existing and new market entrants.
- ✓ Customer Feedback: Asking customers what alternative products or brands they would choose can reveal unexpected competitors.
- ✓ Industry Analysis: The [Porter's Five Forces model](#) encourages a broad view of competition beyond existing rivals to include potential new entrants and substitutes.
- ✓ Trade Shows/Conventions: Attending industry events is a way to gather publicly available information on rivals' activities and offerings.



Competitive Advantage

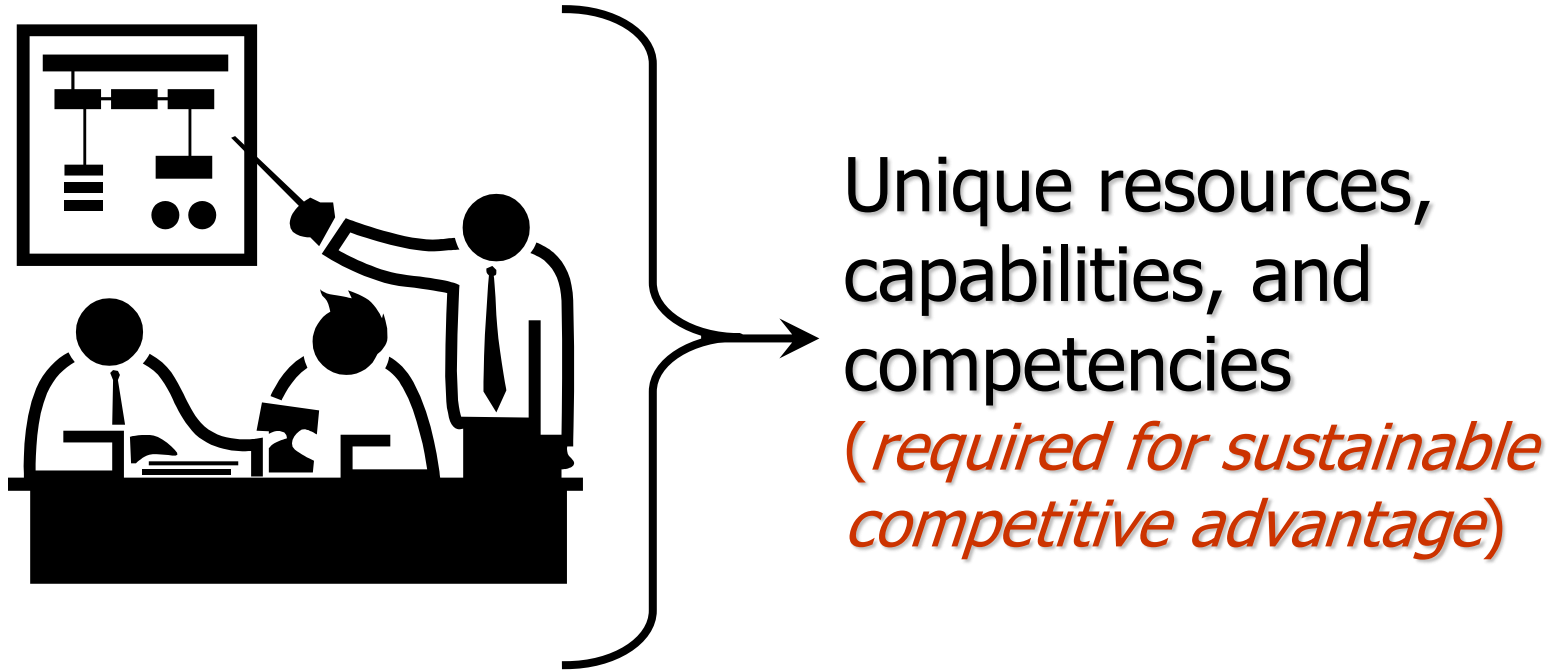
- Firms achieve strategic competitiveness and earn above-average returns when their core competencies are effectively:
 - Acquired.
 - Bundled.
 - Leveraged.
- Over time, the benefits of any value-creating strategy can be duplicated by competitors.
- Sustainability of a competitive advantage is a function of:
 - The rate of core competence obsolescence due to environmental changes.
 - The availability of substitutes for the core competence.
 - The difficulty competitors have in duplicating or imitating the core competence.

External Analyses' Outcomes



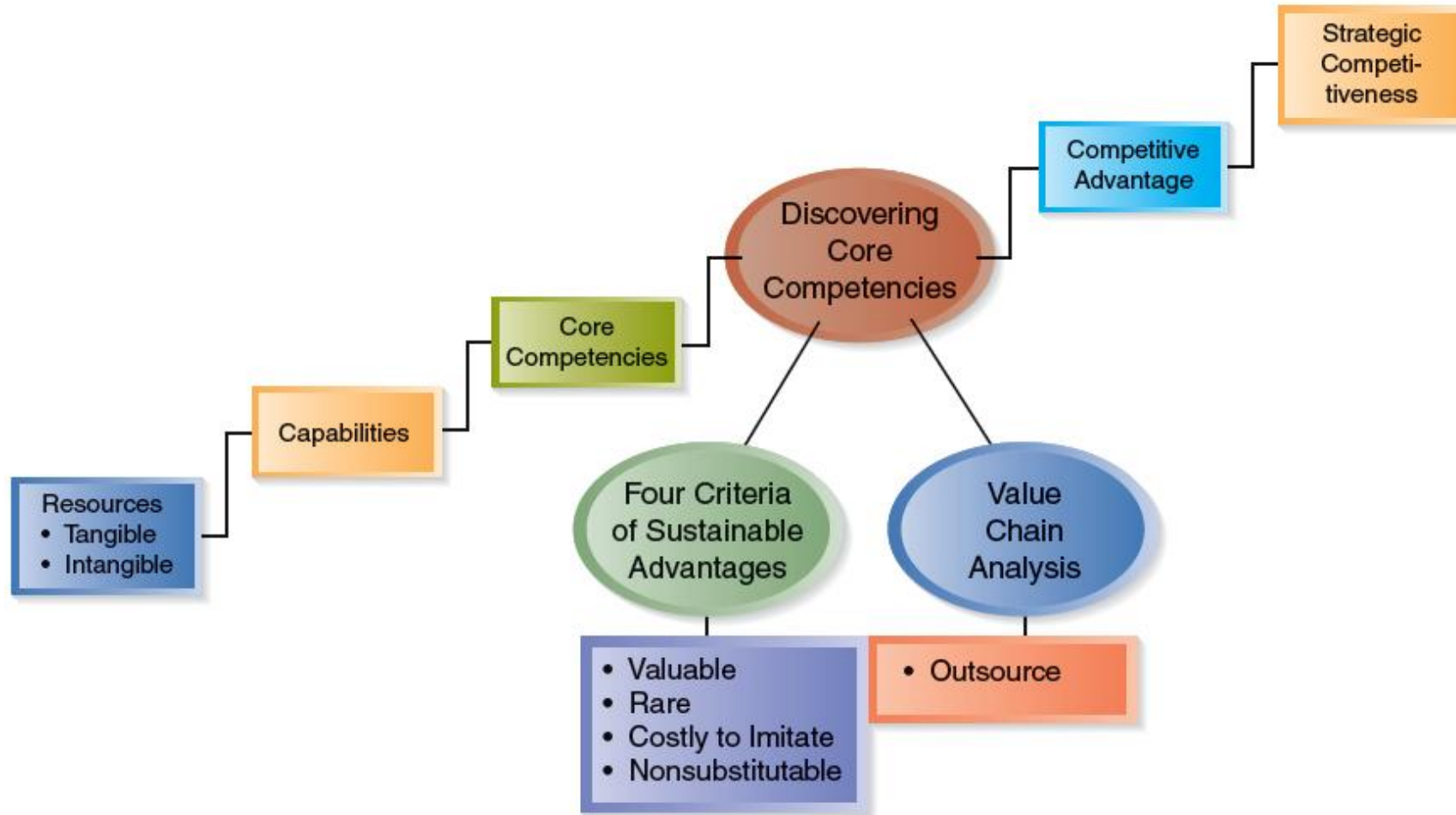
By studying the external environment, firms identify what they *might choose to do*.

Internal Analyses' Outcomes



By studying the internal environment, firms
identify what they *can do*

Components of Internal Analysis Leading to Competitive Advantage and Strategic Competitiveness



Sources of Competitive Advantage

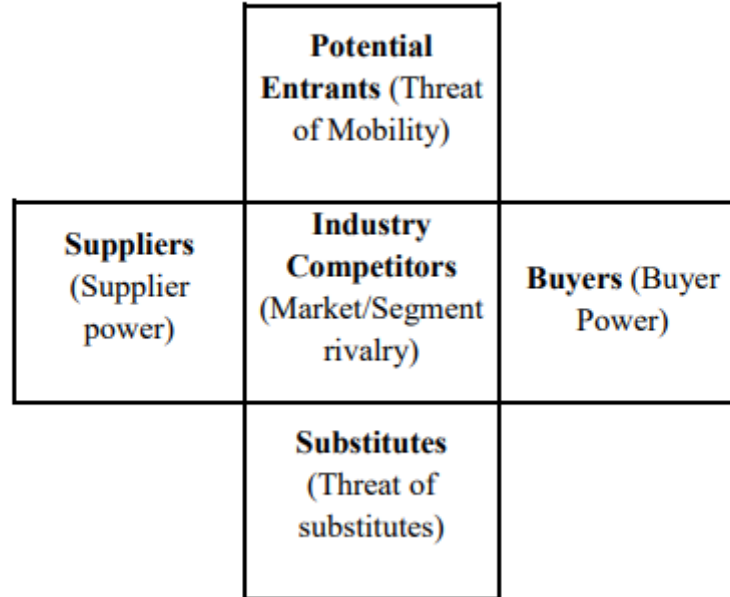
- **Product-Attribute Differentiation**
 - Differentiate your offering through attributes such as: brand identity, design, in-store atmosphere, sourcing, variety.
 - Makes your product more attractive to customers than competitors.
- **Customers' Willingness to Pay (WTP)**
 - Understand how much customers are truly willing to pay.
 - Use that insight to set a price that captures more value.
- **Price Discrimination**
 - Offer different prices to different customer segments based on their WTP.
 - Examples: student discounts, senior pricing.
- **Bundled Pricing**
 - Bundle two or more products/services and price them jointly.
 - The combined value can be higher than selling each separately (e.g. cable TV + internet).
- **Human Capital**
 - Skilled, engaged employees are a source of sustained competitive advantage.
 - Investing in your team—hiring, training, retention—boosts long-term performance.

Michael Porter's work highlights three generic strategies and several internal sources:

- ❑ **Generic Strategies** Firms can achieve advantage through:
 - ✓ **Cost Leadership** Focusing on operational efficiencies and low costs to offer products at lower prices than competitors without sacrificing quality.
 - ✓ **Differentiation** Providing unique product attributes, high-quality services, or a strong brand image that customers value and are willing to pay a premium for.
 - ✓ **Focus Strategy** Tailoring offerings to a specific market segment's needs.
- ❑ **Internal Sources (Resource-Based View)** Sustainable advantage often lies in rare, valuable, inimitable, and non-substitutable internal resources and capabilities (VRIN criteria).
 - ✓ **Value Chain Activities** Analyzing a firm's primary (inbound logistics, operations, marketing, service) and support activities to identify where distinctive value can be created.
 - ✓ **Core Competencies** Utilizing unique strengths, such as proprietary technology, a skilled workforce, or strong brand equity.
 - ✓ **Innovation** Continuous investment in new ideas, whether in product development, process improvements, or business models, keeps a company ahead of rivals.
 - ✓ **Data and Technology** Leveraging data analytics to gain deep customer insights, anticipate market trends, and optimize operations.

Assessing Market Attractiveness

Five Forces that Determine Market Attractiveness according to Michael Porter



<https://publications.dyson.cornell.edu/outreach/extensionpdf/2013/Cornell-Dyson-eb1305.pdf>

Market analysis and plan

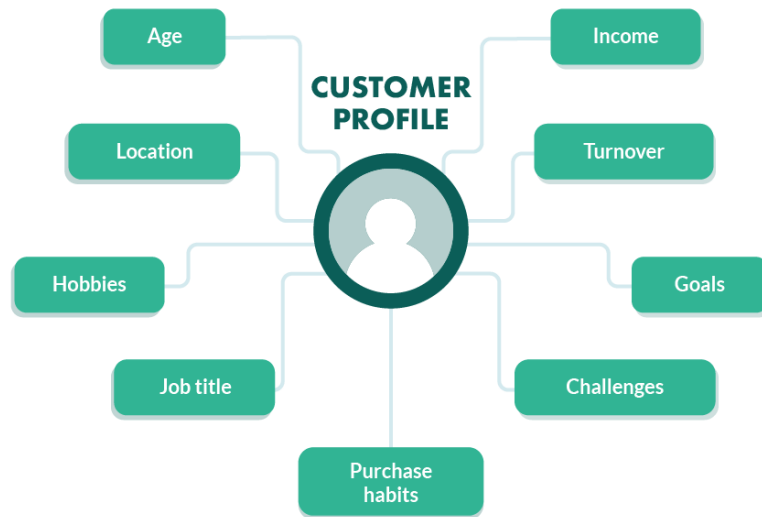
Market Research

- Systematic study of the market to understand size, trends, demand, and growth potential.
- Involves both primary research (surveys, interviews, focus groups) and secondary research (industry reports, government data, online sources).
- Helps identify market opportunities, customer needs, and competitive landscape.
- Provides data for strategic decisions on product, pricing, promotion, and distribution.



Target Customer Profile

- Defines the ideal customer based on **demographics, psychographics, and behavior**:
 - **Demographics**: Age, gender, income, education, location.
 - **Psychographics**: Interests, lifestyle, values, opinions.
 - **Behavioral**: Buying habits, brand loyalty, product usage.
- Helps **segment the market** and design tailored marketing strategies.
- Ensures resources are focused on customers most likely to convert.



Sample of a Customer Profile and Analysis

Career Option's Sample Customer Profile:

Professionals in Transition Segment				
Gender	30% Female		70% Male	
Age	10% 26 - 30	30% 31 - 40	30% 41 - 55	30% 56 - 65
Income	25% 30-40K	25% 40 – 50K		50% 50 – 60K
Marital Status	80% Married		20% Single	
Level of Education	60% Bachelors Degree		40% Masters Degree	
Occupations	10% Health Care	20% Financial	30% Marketing/ Advertising	40% Hi-Tech Fields
Jobs Sought	70% Same Field		30% New Field	

Most Important Benefits:

- Assistance in finding work quickly.
- Want a better job.
- Want equal salary or increase.
- Stability.

Total Addressable Market (TAM)

- TAM is the total revenue opportunity available for a product or service, if you captured 100% of the market — i.e. if *every* potential customer who could use the product/service actually bought it.
- It represents the “biggest-possible market size,” unconstrained by geography, capacity, competition or other real-world limitations.
- It is often used as a high-level metric to gauge whether a market is big enough to justify the effort, resources (time, investment) and risks of entering it.

Total Addressable Market (TAM)

- ✓ Strategic perspective — TAM helps businesses and entrepreneurs understand the maximum possible scale: it answers, “If everything goes right, how big could this get?”
- ✓ Investor appeal — Investors often look for large TAMs to ensure that there is enough upside potential, especially for scalable products or services.
- ✓ Benchmark for planning — Having a well-estimated TAM provides a reference against which to measure more realistic market slices like SAM (what you could serve) and SOM (what you could realistically capture).
- ✓ Feasibility check — Before investing heavily, companies use TAM to check if even under ideal conditions, expected returns justify the effort. If TAM is too small, the venture may not be viable as a scalable business

HOW TO ESTIMATE TAM

METHOD

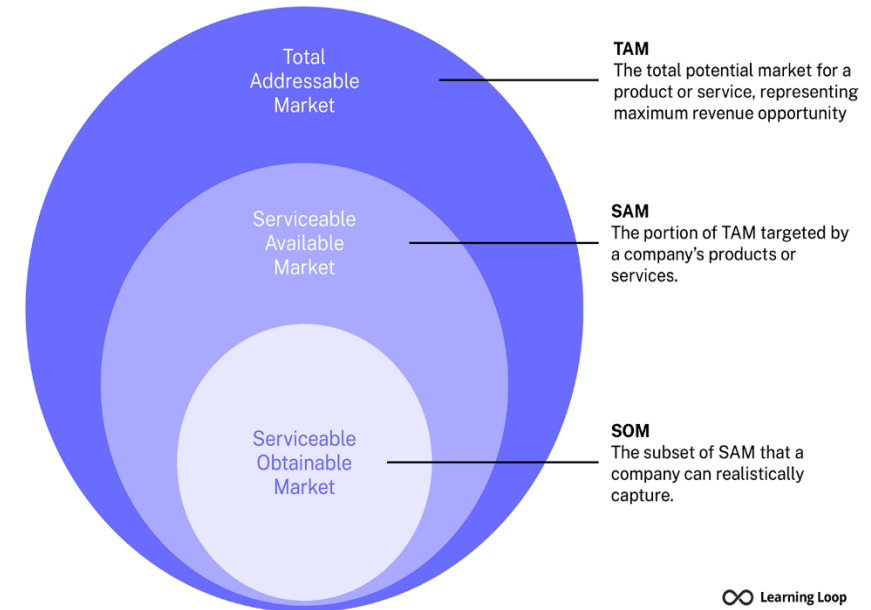
$$\text{TAM} = (\text{Number of potential customers}) \times (\text{Average revenue per customer})$$

STEPS

1. Define overall market relevant to your product/service
2. Estimate how many potential customers exist
3. Estimate the average amount customers would spend
4. Multiply to get total possible revenue

Market analysis Technologies

- **TAM – Total Addressable Market**
 - The total revenue opportunity if your product/service captured 100% of the market.
 - Represents the biggest possible market size.
- **SAM – Serviceable Available Market**
 - The portion of TAM that aligns with your products/services and capabilities.
 - The market your business can realistically serve.
- **SOM – Serviceable Obtainable Market**
 - The subset of SAM that your company can realistically capture in the short to medium term.
 - Reflects market share targets based on competition, resources, and strategy.



Here're a few definitions (some borrowed)

- **Market:** Geoffrey Moore offers a definition^{##} in his book *Crossing the Chasm*:
 - A set of actual or potential customers
 - For a given set of products or services
 - Who have a common set of needs or wants, and
 - Who reference each other when making a buying decision
- **First Target Market:** the market segment that NEEDS your solution NOW and will adopt it quickly
- **Comparable:** company that possesses some facet(s) similar to yours, that offers relevant data or qualities to help create and tell your story
 - For market sizing we're interested in comparable (could be competitive) products^{**}
- **Addressable Market:** who cares (about your product) AND you can realistically reach them
- **(Total) Available Market:** Addressable + those whom you can't reach but can use your product = everyone who can use your product
- **Customer Discovery:** an iterative process using the scientific method to identify customers' needs and the value proposition of a solution that will address those needs
- **Market Research:** A group survey. Used mostly by big business, group interviews or focus groups are useful brainstorming tools for getting information on product ideas (www.entrepreneur.com). A top-down quantification of an industry and its component markets and products (Rana)

Market Research

versus

Customer Discovery

- You can purchase it
- Can help you look at trends/ facts
- Often focused on a product or service
- Assists you in determining the size of your market and whether your venture is worth pursuing
- Often conducted via survey
- Shows you the landscape

- May better help you discover a need that does not yet really exist yet
- Best if done by founders
- Is about people
- About how people do their work today and what they have done to solve problems past and current
- Helps you understand the intensity or magnitude of their problem
- Done as close to in-person as possible
- Helps you parse more micro issues

Customer Discovery is an intense, bottom-up, personal, interview-driven activity designed to identify market needs so you don't make something no one buys

Market Research can be a useful tool to understand the big picture of the markets and industry your engaging

Example: Uber



Total Available (**TAM**)

- The value of all taxis and ride-hailing services everywhere on the planet

Serviceable Available (**SAM**)

- The value of all the taxis, etc., in all the cities Uber is in. This number is all the value, assuming they have a monopoly of 100% of the markets where they are.

Serviceable Obtainable (**SOM**)

- The portion of SAM Uber CAN CAPTURE. Is that 30%? 50%? What is realistic?

GTM (Go-To-Market) Strategy

- **Strategic Plan for Market Entry**
 - A GTM strategy outlines how a company will introduce a **new product, service, or business model** to the market.
- **Focus on Customer Value**
 - Designed to gain competitive advantage by **enhancing the customer experience** (e.g., quality, pricing, usability).
- **Resource Utilization**
 - Specifies **how internal and external resources** (teams, partners, channels) will be leveraged to differentiate the offering.
- **Market Positioning & Differentiation**
 - Provides a roadmap for how the company will **stand out in a new market segment or geography**, ensuring successful penetration.
- **Execution Blueprint** — Defines target customers, marketing channels, sales approach, pricing, and launch plan.

List your business objectives, target markets, target customers, differentiated offerings, and channels that will allow you to focus your Go to Market activities. Outline your specific marketing strategies, key metrics and success factors that support your approach.

Go to Market Strategy

1	2	3	4	5
Business Objectives	Target Markets	Target Customers	Differentiated Offerings	Channels
- List business objective here	- List target market here	- List target customer here	- List offering here	- List channel here
Marketing Strategies			Key Metrics	
- Enter marketing strategy here			- Enter key metric here	
			Key Success Factors	
			- Enter key success factor here	

Actions

Create an action plan focused on creating and implementing your Go to Market Strategy. Consider the people, processes, and technologies that will be needed to support your strategy, and the specific actions needed to implement each phase of your plan.

Actions	Owner	Due Date
Enter action here	Enter owner	Enter due date

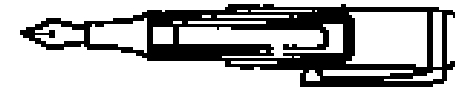
Marketing and Product Differentiation

- DIFFERENTIATION is the act of designing a set of meaningful differences to distinguish the company's offering from competitors' offerings. - Kotler (1997)
- **Key Differentiating Factors for a New Product**
 - The product represents a **functional improvement** on competing or substitute products
 - The retail-selling price is considered to be advantageous
 - The product and/or its labeling has an **attractive design**
 - The new product is properly **branded**, promoted and advertised
 - The new product is readily available to customers in the main retail shops
 - A number of after-sales services are provided that make the product appealing to consumers

How to Prevent Free Riding?

- Innovation - functional improvement of a product → Patents or Utility Models
- Design - development of the ornamental features of a product → Industrial Designs
- Brand - for marketing the product → Trademarks

- **Patent** for the fountain pen that could store ink
- **Utility Model** for the grip and pippette for injection of ink
- **Industrial Design:** smart design with the grip in the shape of an arrow
- **Trademark:** provided on the product and the packaging to distinguish it from other pens



Source: Japanese Patent Office

Corporate Image, Product Positioning and Brand Equity

- TRUST and RELATIONSHIPS are the bulwark of any enterprise, be it big or small, with a global or local ambit, having a traditional or modern management style, high tech or low tech, leader or follower, and irrespective of it being a part of the old world of 'brick and mortar' or a rising star reliant on e-commerce

Building Trust and Relationships

- A Brand is a consistent, holistic pledge made by a company, the face a company presents
- A Brand serves as an unmistakable symbol for products and services
- “Business card” a company proffers on the competitive scene to set itself apart from the rest

Trust is to Business, as Trademark
is to Brand

- Brand Equity built on the foundation of a protected Trademark
- Brand/Trademark can:
 - (a) be disposed off separately from other company assets (Free-standing Institutions); and
 - (b) give rights that can be legally protected

Brand/Trademark

- Trademark: Legal concept
- Brand: Marketing concept
- Registration of a trademark adds value as it protects its other inherent assets
- Brand profile and positioning may vary over time, but trademark protection remains the same

Definition of a Brand

(1) Defines the differential features of a product or service:

- Real or Imaginary
- Rational or Irrational
- Tangible or Intangible

Definition of a Brand Contd...

(2) Constitutes an image that creates a personal experience:

- Own
- Third party
- Imaginary

Definition of a Brand Contd...

- (3) With conscious and unconscious contents that the consumer projects and deposits on it;
- (4) Constitutes part of and builds up his/her identity;
- (5) Generates certain perceptions, attitudes and behaviors and enables fulfillment in their lives

Brand Identity

- **Mind share (cognitive level)**
- **Heart Share (Emotional relationship)**
- **Buying intention share**
- **Self share (self-expression and self-design)**
- **Legend Share (cultural-sociological proposition; legendary; mythological)**

Role of Brands: For the Company

In a highly competitive world, where manufacturers are losing their pricing power, branding is seen as a way of clawing back some of the lost influence.

Role of Brands: For the Company

- Real and marketable asset
- Higher profit margin (Price Premium)
- Incremental cash flow
- Reduces cash flow sustainability risk
- Accelerates speed of cash flow
- Increases bonding and customer loyalty
- Increased market share
- Entry barrier
- Limits growth of competitors

Role of Brands: For the Company

- Requires lower investment levels
- Better negotiating position with trade and other suppliers
- Facilitates higher product availability (better distribution coverage)
- Dealers order what customers explicitly request
- Extends products' life cycle
- Allows lower cost brand extensions
- Can be the basis for international expansion
- Provides legal protection; licensing; franchising
- Buffer to survive market or product problems

Role of Brands: For the Company

- Value of Brands is a key determinant of enterprise value and stock market capitalization
- Financial markets reward consistently focussed brand strategies
- Brand management a vital ingredient for success in corporate strategy

But...

- Brand Building Requires Time and Money;
- Brand Nourishing Should be a Continuous Process;
- Higher Profile/Exposure, Greater its Vulnerability;
- Can be Target of Counterfeiting/Criminal Activities;

The Importance of Brands

“Consumers are starved for time and overwhelmed by the choices available to them. They want strong brands that simplify their decision making and reduce their risks”

Are there other good reasons?

Kevin Lane Keller, Tuck School of Business

Promotion

DEFINITION:

- *Promotion is communication with actual and potential buyers*

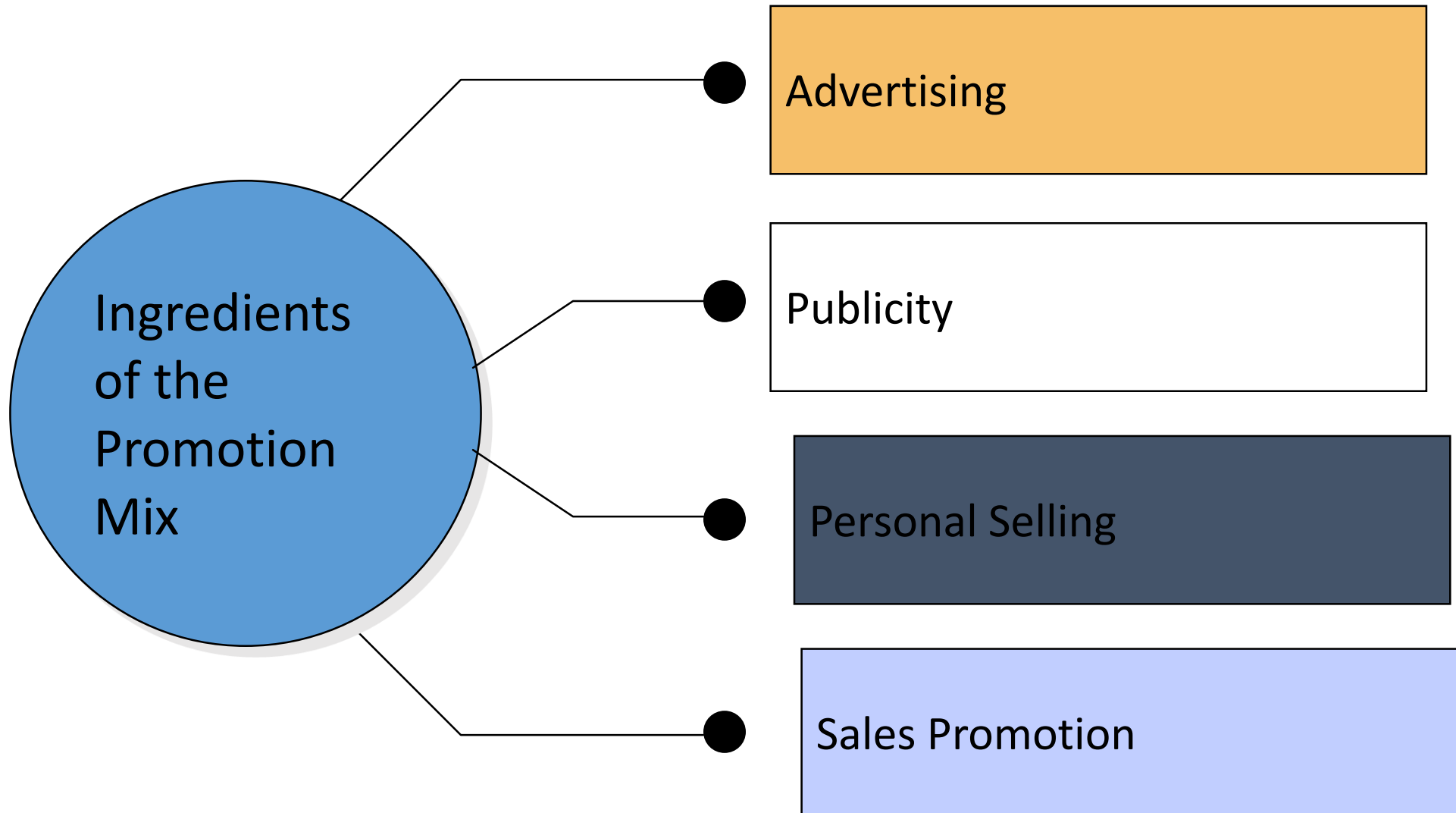
OBJECTIVE:

- *To convince target market of the product's differential advantage*

NECESSARY PREREQUISITE:

- *Ought be guided by a promotional strategy: a plan for the optimal use of the promotional mix*

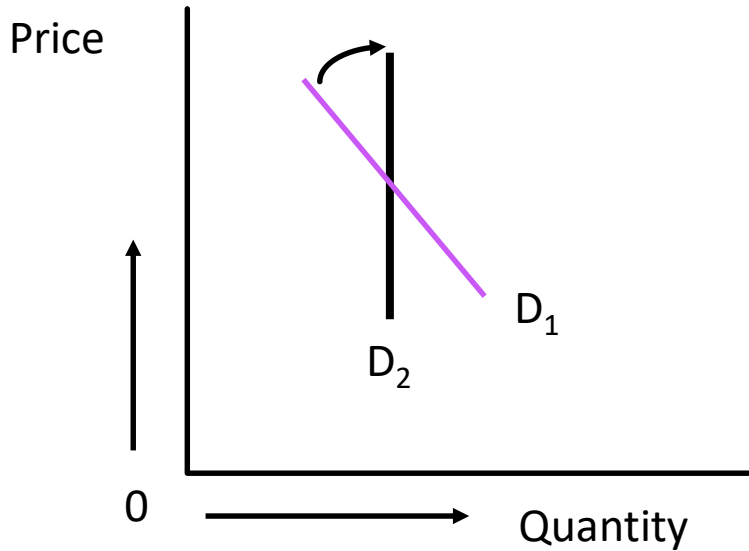
Elements of the Promotional Mix



The Effects (outcomes) of Advertising

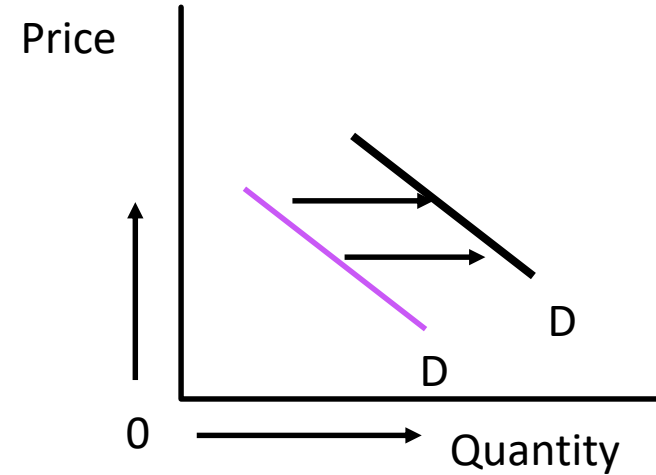
- Advertising influences:
 - market share
 - the consumers' behaviour
 - brand loyalty
 - perceptions of attributes

Promotion and the Demand Curve



A. To be more inelastic

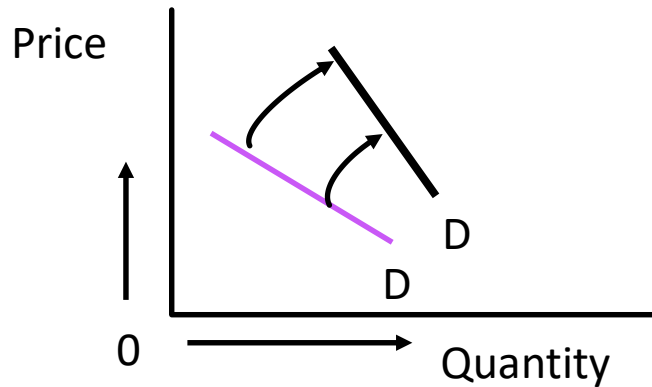
Promotion efforts may be targeted to make demand for the firm's products more inelastic and so more resistant to counter-moves by the competition.



B. to the right

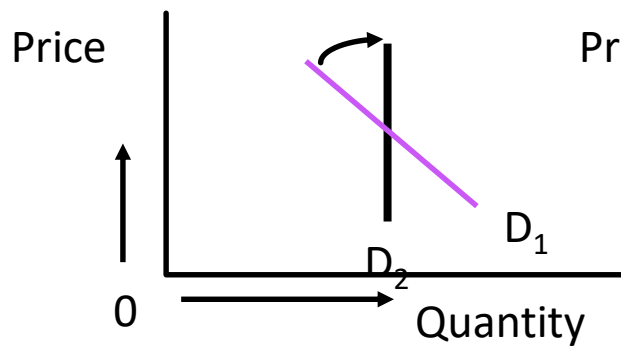
Promotion efforts may be targeted to increase the demand for the firm's products.

Promotion and the Demand Curve

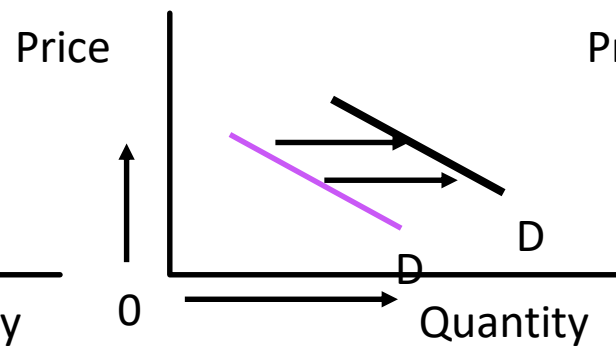


C. Both to the right and more inelastic

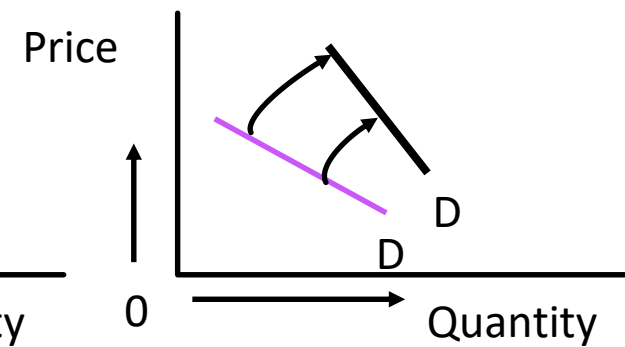
Promotion efforts may be targeted to both increase demand for the firm's products and to make demand more inelastic



A. To be more elastic

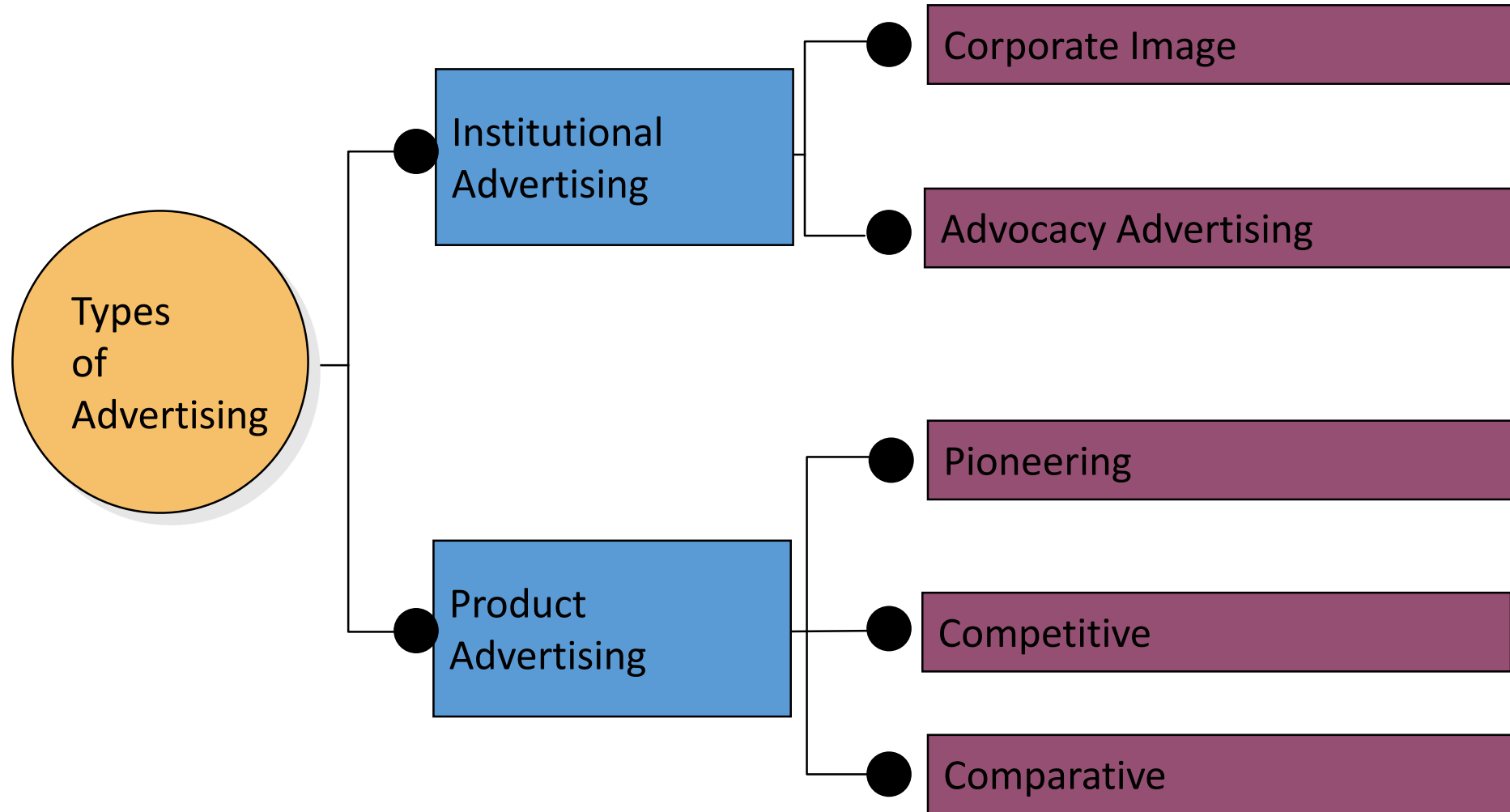


B. to the right



C. Both to the right and more elastic

Major Types of Advertising



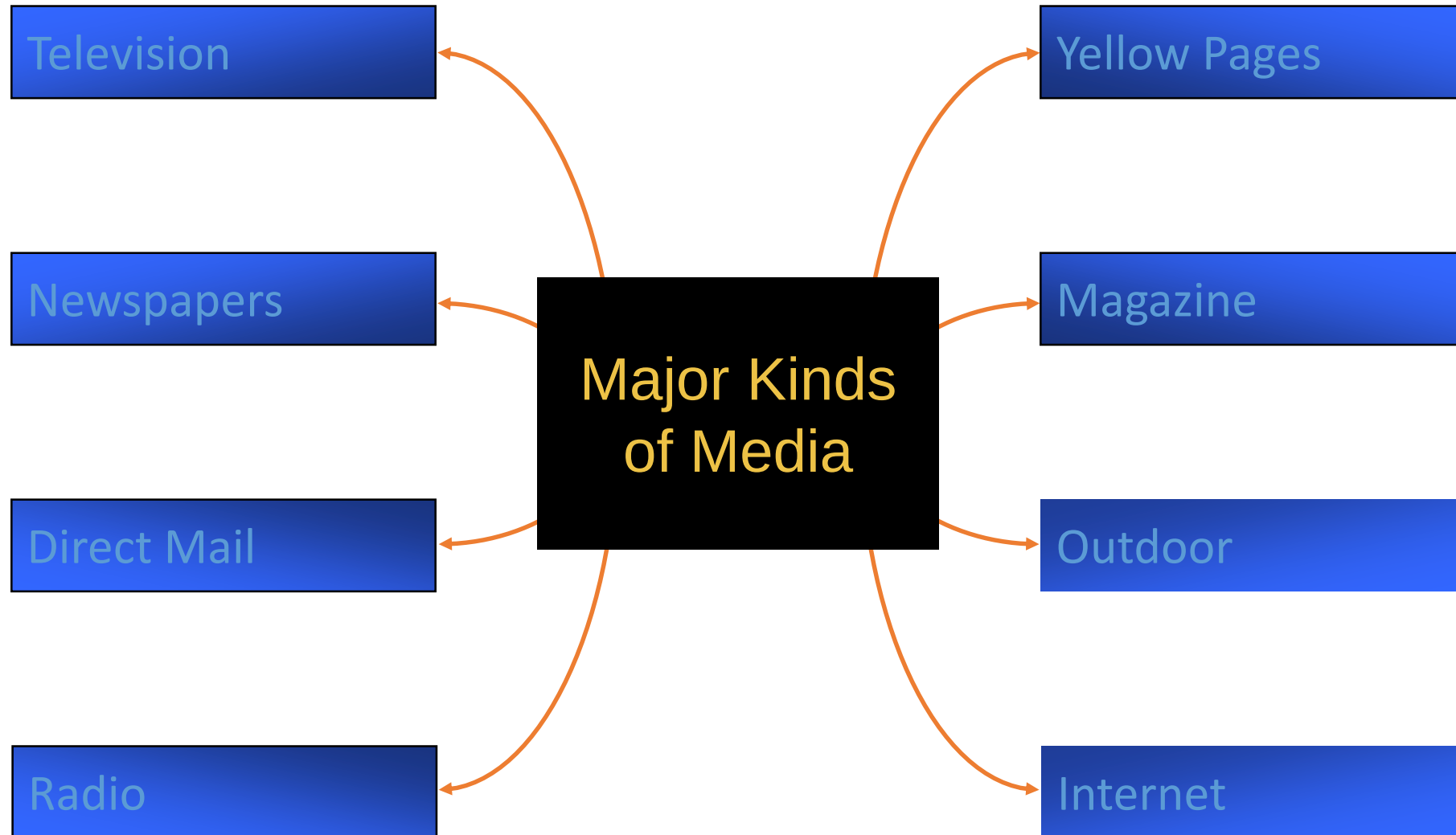
Major Types of Advertising (cont)

- Institutional advertising
 - to establish, change or maintain the firm's identity - not an attempt to sell anything
- Product advertising
 - pioneering advertising
 - stimulate demand for a new product: primary demand
 - competitive advertising
 - attempts to increase sales: brand insistence
 - comparative advertising
 - directly or indirectly compares two brands

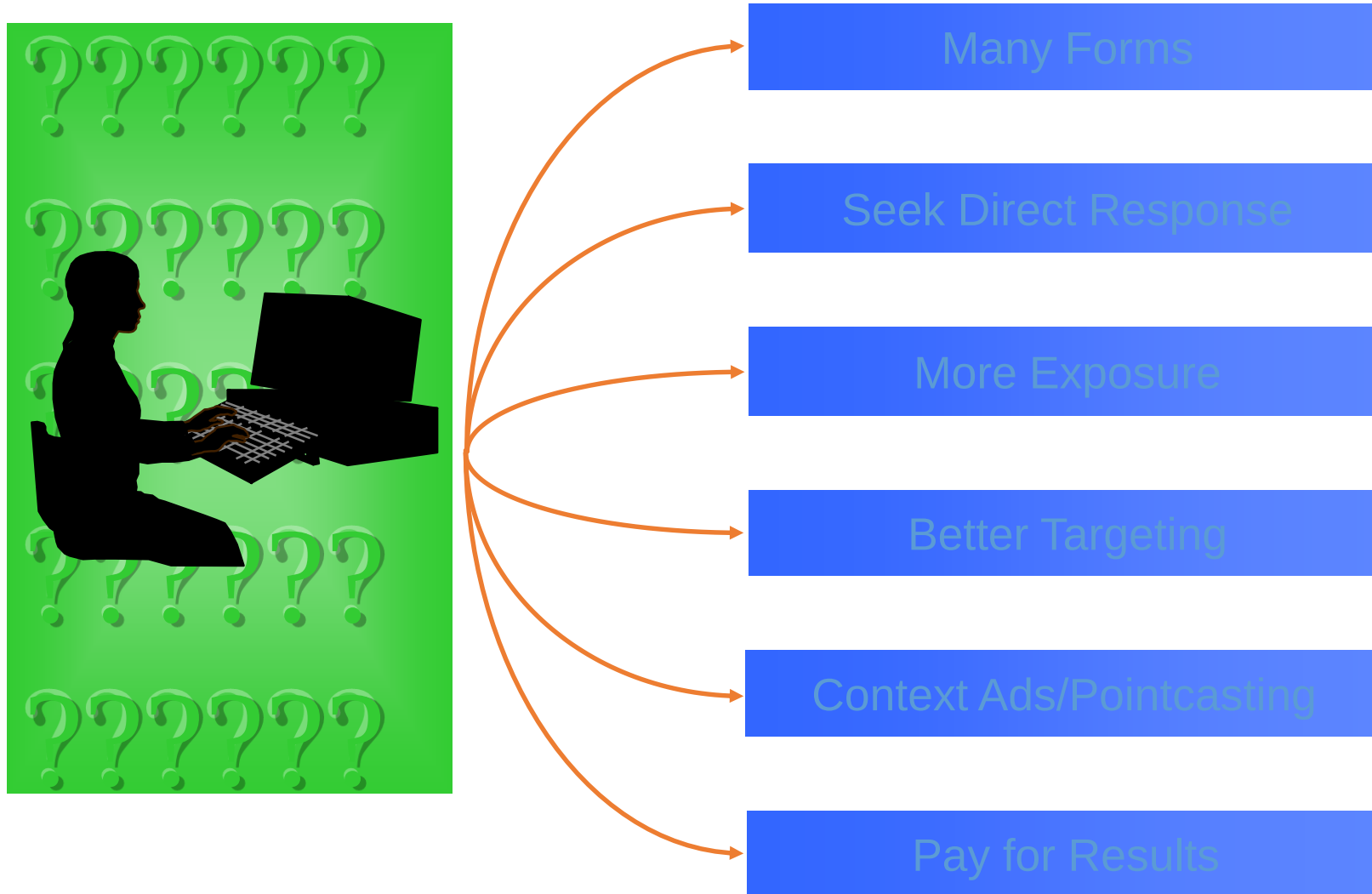
Setting Advertising Objectives



Choosing Media



Advertising on the Internet



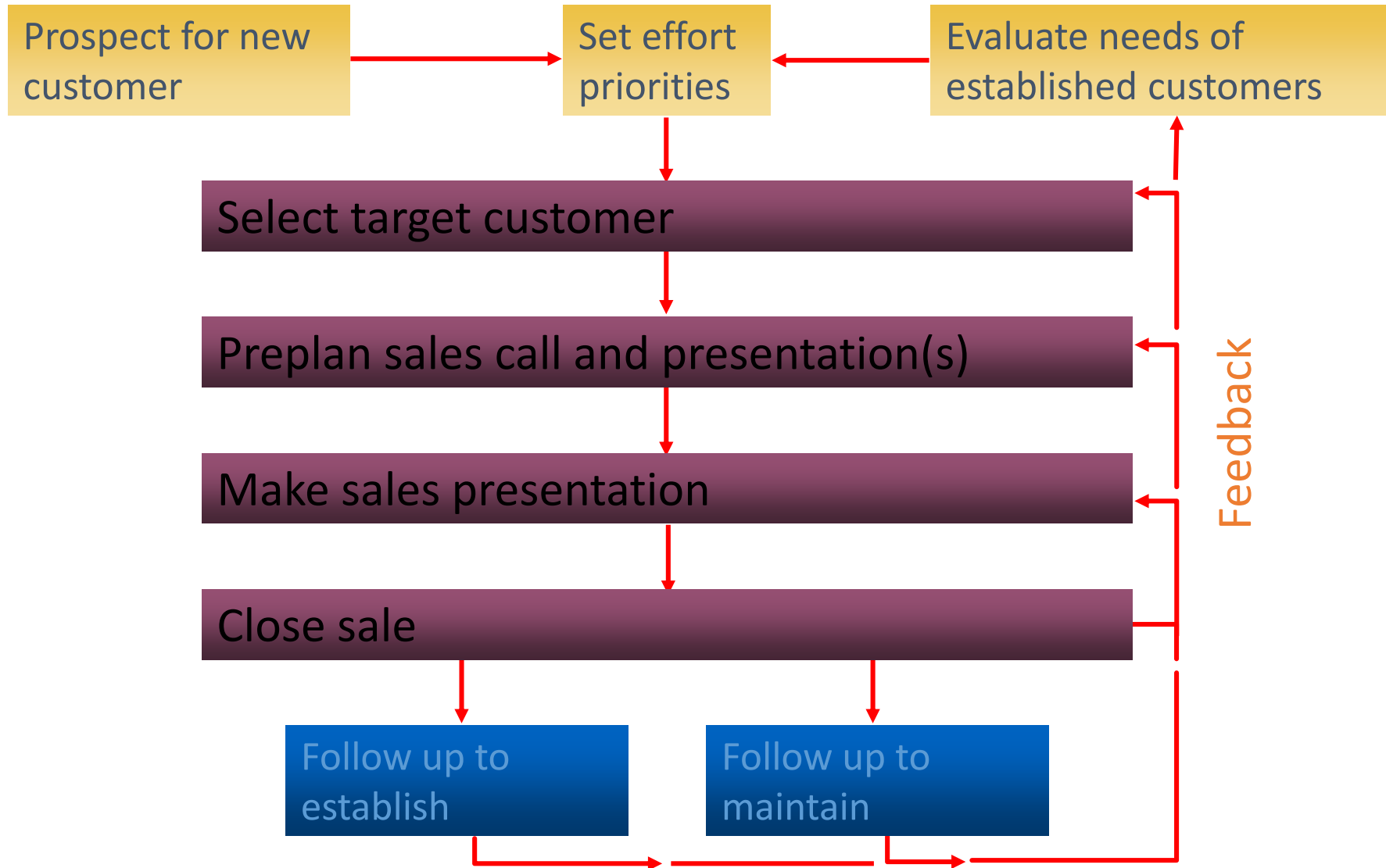
Public Relations and Publicity

- Public relations: shape the public's perceptions of and attitudes towards the firm
- Communicates with stakeholders in manners other than advertising
- Publicity: non-paid for media exposure for the firm: both positive and negative

Personal Selling

- Two people in a purchasing situation trying to influence each other
- Each part has its own objectives
 - buyer wants to minimise costs or buy the best quality
 - seller wants to maximise price, sales and profits
- Often a well-prepared presentation
- Modern approach is relationship selling

Steps in the Personal Selling Process



Sales Promotion

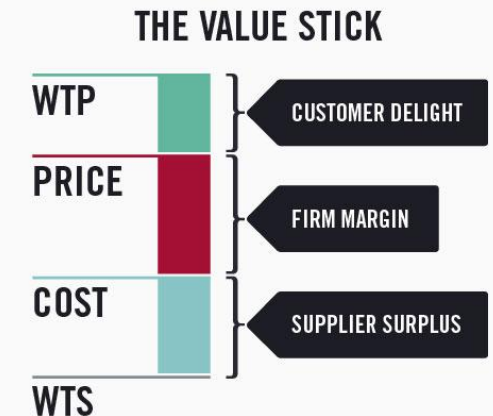
- All marketing activities other than advertising, personal selling and public relations, that stimulates sales and dealer effectiveness
- Short-term, immediate stimulation of demand
- Can be aimed at consumers, intermediaries or employees
- Examples: free samples, coupons etc.

Business Strategy Development

- Defines the long-term direction of the organization by aligning goals, resources, and competitive positioning.
- Guides decision-making on markets, products, capabilities, and value creation.
- Ensures all departments work toward a unified strategic purpose.
- **Why Business Strategy Matters**
 - A business strategy aligns and integrates an organization's initiatives to provide a **competitive edge** in the market.
 - It ensures the company has a **clear plan** for achieving organizational goals — enabling it to **survive and thrive**.
 - Effective strategy centers on **value creation** — for customers, employees, suppliers, and the firm itself.

Core Concept: Value-Based Strategy

- Strategy should answer three fundamental questions:
 - How to create value for customers?
 - How to create value for employees?
 - How to create value through suppliers?
- Use a framework (like the “value stick”) which maps: **Willingness to Pay (WTP)**, **Price**, **Cost**, and **Willingness to Sell (WTS)** — to understand value creation and distribution.
- By adjusting these levers, companies can increase value and competitive advantage.



Harvard Business School Online

Steps to Develop a Business Strategy

- **Define Your Purpose**

- Start with a clear organizational purpose or mission — often tied to a cause or value (e.g. sustainability, social impact).
- This purpose becomes the foundation for creating value for customers, employees, and stakeholders.

- **Assess Market Opportunity**

- Analyze the competitive landscape: market size, unmet needs, competitors' offerings, and gaps.
- Determine where your offering can create unique value or serve unmet customer demands.

- **Create Value for Customers**

- Either increase what the customer values (e.g. quality, service, experience) or lower price — to maximize “customer delight.”
- Other value-creation methods: superior customer service, product quality, user experience, brand positioning, network effects, or sustainability credentials.

- **Create Value for Suppliers (and Partners)**

- Improve supplier relationships by ensuring fair compensation, quality inputs, or long-term partnerships. This can lead to better inputs, reliability, and possibly lower costs.
- Efficient and stable supply chains add to overall value creation and operational resilience.

- **Create Value for Employees**

- Ensure employees are motivated and engaged — through fair compensation, good work conditions, growth opportunities, and recognition.
- Employee satisfaction can lead to better performance, better customer service, lower turnover — all contributing to business success.

- **Map Strategy to Action (Tasks & KPIs)**

- Translate strategic goals into concrete action plans, assign responsibilities, and define **Key Performance Indicators (KPIs)**.
- Use these metrics to monitor progress, adapt when necessary, and ensure consistent execution across the organization.

From Strategy to Execution

- Strategy formulation is only the first step — effective execution requires: clear goals, roles & responsibilities, resource allocation, and alignment across teams.
- Continuous monitoring and readiness to adjust the plan are essential to respond to changing market conditions and internal dynamics

• Vision Statement

- Describes the **future state** the organization aspires to achieve.
- Inspires and motivates stakeholders with a clear long-term direction.
- Serves as a guiding star for strategic planning.

• Mission Statement

- Defines the organization's **purpose**, core activities, and value it delivers to customers.
- Clarifies *what the organization does, for whom, and how*.
- Provides operational focus and communicates the organization's reason for existence.

• SMART Goals

- **Specific** – Clearly defines what needs to be achieved.
- **Measurable** – Includes metrics to track progress and success.
- **Achievable** – Realistic based on resources and capabilities.
- **Relevant** – Aligned with vision, mission, and strategic priorities.
- **Time-Bound** – Has a clear deadline for completion.

Template for writing a S.M.A.R.T. Goal

Crafting S.M.A.R.T. Goals are designed to help you identify if what you want to achieve is realistic and determine a deadline. When writing S.M.A.R.T. Goals use concise language, but include relevant information. These are designed to help you succeed, so be positive when answering the questions.

Initial Goal (*Write the goal you have in mind*):

1. Specific (*What do you want to accomplish? Who needs to be included? When do you want to do this? Why is this a goal?*)

2. Measurable (*How can you measure progress and know if you've successfully met your goal?*):

3. Achievable (*Do you have the skills required to achieve the goal? If not, can you obtain them? What is the motivation for this goal? Is the amount of effort required on par with what the goal will achieve?*):

4. Relevant (*Why am I setting this goal now? Is it aligned with overall objectives?*):

5. Time-bound (*What's the deadline and is it realistic?*):

S.M.A.R.T. Goal (*Review what you have written, and craft a new goal statement based on what the answers to the questions above have revealed*):

Building a startup team

- Building a startup team involves identifying **core needs and complementary skills, hiring for cultural fit and flexibility, and fostering a strong sense of ownership and vision.**
- Key steps include
 - defining essential roles,
 - leveraging your network,
 - creating a compelling vision, and
 - prioritizing open communication and a positive work environment to ensure the team can adapt and thrive.

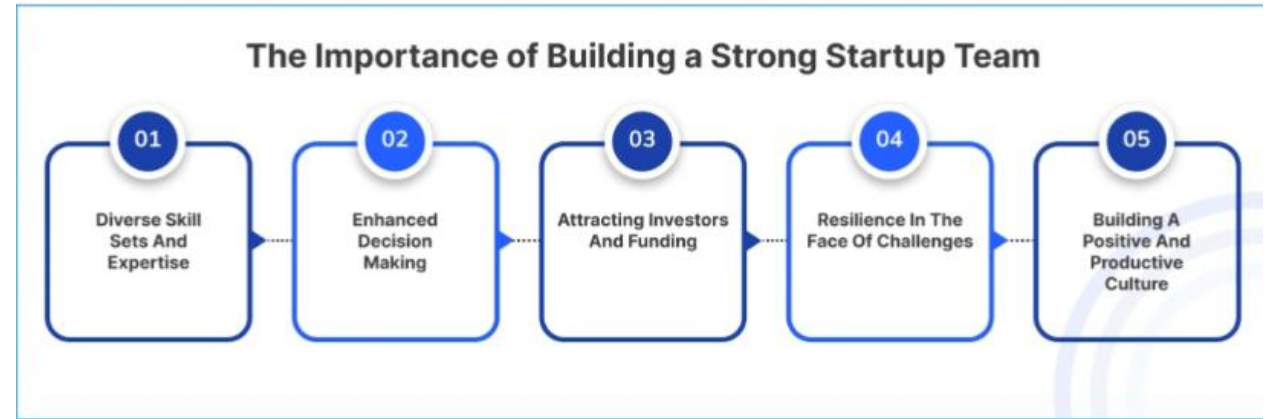
Building a startup team

- **Importance of Building the Right Startup Team**

- Team quality is the strongest predictor of startup success
- Early hires shape company **culture**, **execution speed**, and **innovation**
- Founders and first employees influence long-term strategic direction
- Each hire has **high impact** due to limited resources
- “Right team” reduces risk and accelerates product–market fit

- **Characteristics of a Strong Startup Team**

- Shared vision and strong mission alignment
- Complementary skills (technical ↔ business, product ↔ operations)
- High adaptability, learning mindset
- Ability to work in ambiguous, resource-restricted environments
- Ownership mentality and bias for action
- Trust, transparency, and strong communication



How to build an effective team for your startup



Types of Early Team Roles

- **Founding roles**

- Vision & leadership
- Product ownership
- Technology / engineering
- Business development / customer research

- **First employees**

- Full-stack generalists
- Product designers
- Early sales & marketing
- Operations & customer success

Phases of Building a Startup Team

1. Define mission, values & culture
2. Identify key roles and required competencies
3. Build a talent pipeline (network, referrals, communities)
4. Structured selection & evaluation
5. Onboarding and culture building
6. Continuous learning and team evolution

Why Early Hiring Matters

- Early founders and employees shape the **culture, direction, and speed** of the startup.
- The right people accelerate **product development, customer validation, and market entry**.
- Each hire has **high impact**, so selection must be strategic, not rushed.
- Founders should lead early hiring personally to ensure alignment with the mission and values.

Strategies for Recruiting Founders

- **Seek complementary skills** (technical + business, product + operations).
- Recruit individuals with **shared vision, values, and long-term commitment**.
- Use **trial projects** or short collaborations to test working compatibility.
- Discuss and finalize **roles, responsibilities, equity split, and decision-making rules** early.
- Prioritize people who show **resilience, ownership mindset, and adaptability** in uncertainty.

Strategies for Recruiting Early Employees

- Hire **generalists / T-shaped profiles** who can handle multiple roles.
- Focus on **attitude, adaptability, and cultural fit** rather than just credentials.
- Use a **structured hiring process** (scorecards, competency-based interviews).
- Offer a strong **employee value proposition**: learning, autonomy, and meaningful impact.
- Use **contract-to-hire, referrals, and networks** to reduce risk and find aligned talent.



Smart Hiring Strategies (for Founders / Fast-Growth Startups)

- **Hire for adaptability, not just current role** — predict future needs, not just now
- **Seek multipliers** — people who elevate others & scale impact
- **Use smart networks & referrals** — quality candidates often come via trusted connections
- **Balance speed with rigor** — hire relatively quickly when needed, but still vet carefully
- **Offer compelling value** — mission, growth potential, ownership, impact
- **Be transparent about uncertainty & risk** — attract committed, realistic people
- **Build flexible structures** — roles, equity, responsibilities that can evolve as startup grows

Financial analysis

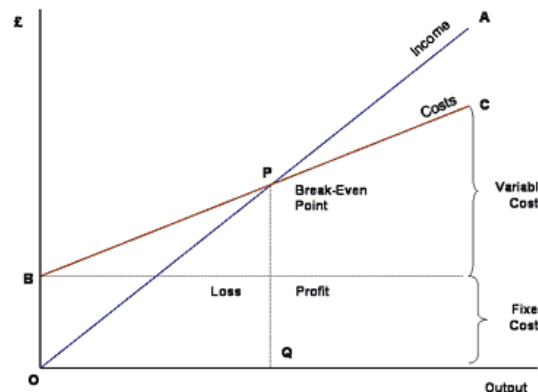
- Financial analysis helps determine the viability and sustainability of a business model.
- Revenue Streams = How the business earns money.
- Cost Structure = All costs required to operate and deliver value.
- Together, they shape profitability, pricing, and strategic decisions.
- **Key Types of Revenue Streams**
 - **Product Sales** – One-time purchase of physical/digital goods.
 - **Service Fees** – Revenue from professional or consulting services.
 - **Subscription Revenue** – Recurring monthly/annual payments.
 - **Licensing & Royalties** – Income from IP rights or usage fees.
 - **Commission-Based Revenue** – Percentage earned from facilitating transactions.
 - **Freemium Upsell** – Basic service free; advanced features paid.
 - **Advertising & Sponsorships** – Monetizing audience attention.

Financial analysis

- Types of Cost Structures
 - **Fixed Costs** – Do not change with production: rent, salaries, insurance.
 - **Variable Costs** – Fluctuate with output: raw materials, commissions.
 - **Operating Costs (OPEX)** – Daily running expenses.
 - **Capital Costs (CAPEX)** – Long-term asset investments.
 - **Customer Acquisition Cost (CAC)** – Marketing + sales cost to gain customers.
 - **Cost of Goods Sold (COGS)** – Direct cost of producing goods/services.
 - **Technology & Infrastructure Costs** – Servers, cloud, software licenses.

Financial Viability & Strategic Decision Making

- Align revenue model with customer willingness to pay.
- Optimize cost structure for scalability (automation, outsourcing).
- Monitor:
 - **Gross Margin** = Revenue – COGS
 - **Operating Margin** = Revenue – Operating Costs
 - **Break-even Point** = When revenue covers all costs
- Use financial analysis to guide:
 - Pricing strategy
 - Market expansion
 - Investment priorities
 - Growth planning



Key Financial Statements for Future Financial Projections

- Help estimate future performance, cash needs, and profitability.
- Essential for investor pitches, budgeting, and strategic planning.
- Three core financial statements: **Income Statement, Balance Sheet, Cash Flow Statement.**
- Projected Income Statement (Profit & Loss)
 - Shows expected revenue, expenses, and net profit over time (monthly/quarterly/yearly).
 - Key items:
 - **Revenue Forecast**
 - **COGS (Cost of Goods Sold)**
 - **Gross Margin**
 - **Operating Expenses (OPEX)**
 - **EBITDA / Net Profit**
- **EBITDA = Revenue – COGS – Operating Expenses (excluding depreciation & amortization)**
 - **Reflects:** Operating efficiency, Core profitability, Ability to generate cash from operations
 - Useful for comparing companies across industries (removes financing and tax differences)
 - Best for evaluating operations, early-stage startups, comparing across industries.
- **Net Profit = Total Revenue – Total Expenses (including interest, tax, depreciation & amortization)**
 - **Reflects:** True profitability, How much money remains for owners/shareholders, Company's ability to sustain long-term growth
 - Best for assessing actual financial health, investor returns, tax impact, long-term sustainability.
- Used to assess: profitability trends, pricing strategy, cost optimization.

Key Financial Statements for Future Financial Projections

• Projected Balance Sheet

- Shows future financial position at a specific point in time.
- Key items:
 - **Assets** – cash, equipment, receivables, inventory
 - **Liabilities** – loans, payables, accrued expenses
 - **Equity** – owner's capital, retained earnings
- Helps evaluate: liquidity, solvency, funding needs, asset growth.

• Projected Cash Flow Statement

- Tracks inflows & outflows of cash for future periods.
- Key components:
 - **Operating Cash Flow** – from core business
 - **Investing Cash Flow** – equipment, R&D, expansion
 - **Financing Cash Flow** – loans, investor funds, repayments
- Helps determine: cash runway, investment timing, ability to meet obligations.

	A	B	C
1	Balance Sheet		Month
2			1
3	Assets:		
4	Cash		967,741
5	Accounts Receivable		3,780
6	Inventory		3,780
7	Fixed Assets		
8	Accumulated Depreciation		
9	Total Assets		\$ 975,301
10			
11	Liabilities		
12	Accounts Payable		14,875
13	Short Term Debt		
14	Long Term Debt		
15	Total Liabilities		14,875
16			
17	Owners Equity		
18	Capital Stock		1,000,000
19	Retained Earnings		(39,575)
20	Total Equity		960,425
21			
22	Total Liabilities & Equity		\$ 975,301

Figure 1. Sample 6-Week Cash Flow Projection

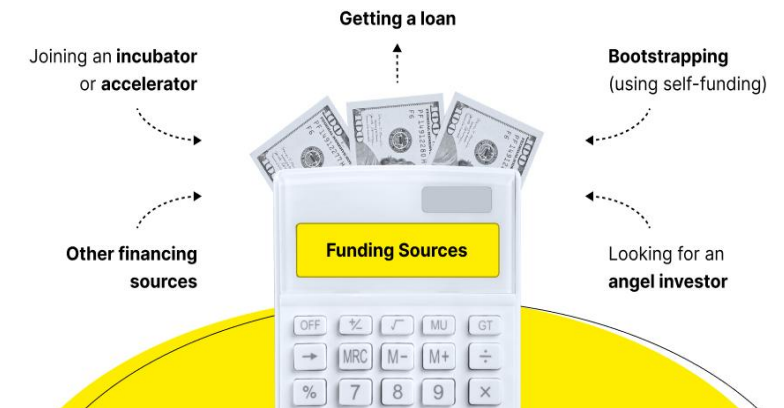
	Week 0 (Actual)	Week 1	Week 2	Week 3	Week 4	Week 5	Week 6
Beginning Cash Balance	135,035	105,325	152,449	120,906	137,002	114,352	128,499
Cash Inflows							
Accounts Receivable	82,655	119,299	157,424	137,977	98,394	93,144	117,579
Total Cash Inflows	82,655	119,299	157,424	137,977	98,394	93,144	117,579
Cash Outflows							
Accounts Payable	35,245	41,115	106,717	76,881	41,269	47,938	37,048
Payroll	77,120		82,250		79,775		79,775
Loan Payments (Interest)		905				905	
Loan Payments (Principal)		30,155				30,155	
Dividends Paid (Owner Draw)				45,000			10,000
Total Cash Outflows	112,365	72,175	188,967	121,881	121,044	78,998	126,823
Net Cash Flows	(29,710)	47,124	(31,543)	16,096	(22,650)	14,146	(9,244)
Ending Cash Balance	105,325	152,449	120,906	137,002	114,352	128,499	119,255

Raising capital for startup

- Before diving into funding types, some “big picture” principles
 - **Align funding with business model and growth trajectory** — avoid over-capitalization (raising too much too early) which can lead to pressure to scale prematurely or lose strategic flexibility.
 - **Maintain founder/investor alignment on vision, values, and growth expectations** — ensure investors’ risk-appetite, time-horizon, and goals match those of founders.
 - **Balance equity thinning vs. control and long-term incentives** — capital isn't “free,” and decisions about ownership, governance and decision-rights matter from early stages.
 - **Prepare robust financials and realistic projections (not over-optimistic)** — good discipline builds trust with investors and avoids “hockey-stick” pitfalls.
 - **Use capital as a strategic tool — for building capabilities, not just cash burn:** invest in team, core assets, processes, systems that create sustainable foundation.

Startup Funding Sources

What are the ways to fund a startup and get it off the ground?



Strategic Principles for Raising Startup Capital

Capital raising ≠ just money — it's about **strategy, alignment, and sustainability**.

Align funding amount & timing with **realistic growth milestones**.

Ensure **founder and investor vision & values** are aligned (growth pace, risk tolerance, exit horizon). Beware of **over-dilution**; balance capital needs with long-term control.

Maintain **transparent, realistic financial planning** — credible projections earn investor trust. 77

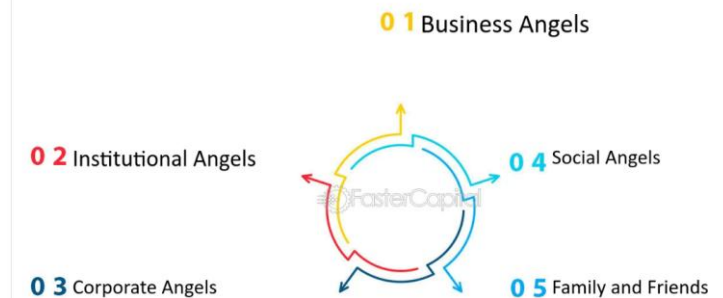
Seed Capital — Early Funding with Caution & Clarity

- Purpose: validate idea, build MVP, conduct market research, early team formation.
- Best sourced from founders' savings, close network, pre-seed programs or incubators.
- Advantages: minimal dilution if from personal funds; total control for founders.
- Risks/Considerations: limited resources; need to be disciplined with spending; avoid over-engineering at MVP stage.
- **Strategic tip:** use seed funding to build only what's essential for hypothesis testing and market feedback — **avoid “feature overload.”**



Angel Investors — Capital + Mentorship + Strategic Fit

- Angel investors bring not only funds, but **domain expertise, networks, and guidance**.
- When approaching angels, focus on **credibility, clarity in vision, and realistic milestones**.
- Equity trade-off: angels expect stake — but small, early rounds tend to have lesser influence than institutional investors.
- Strategically: pick angels whose **values, industry knowledge, and timeline** align with your startup's direction.
- Use angel investment to validate product-market fit and build core team — but maintain **fiscal discipline** so runway lasts until meaningful traction.



Venture Capital — Scaling Growth with Governance and Expectations

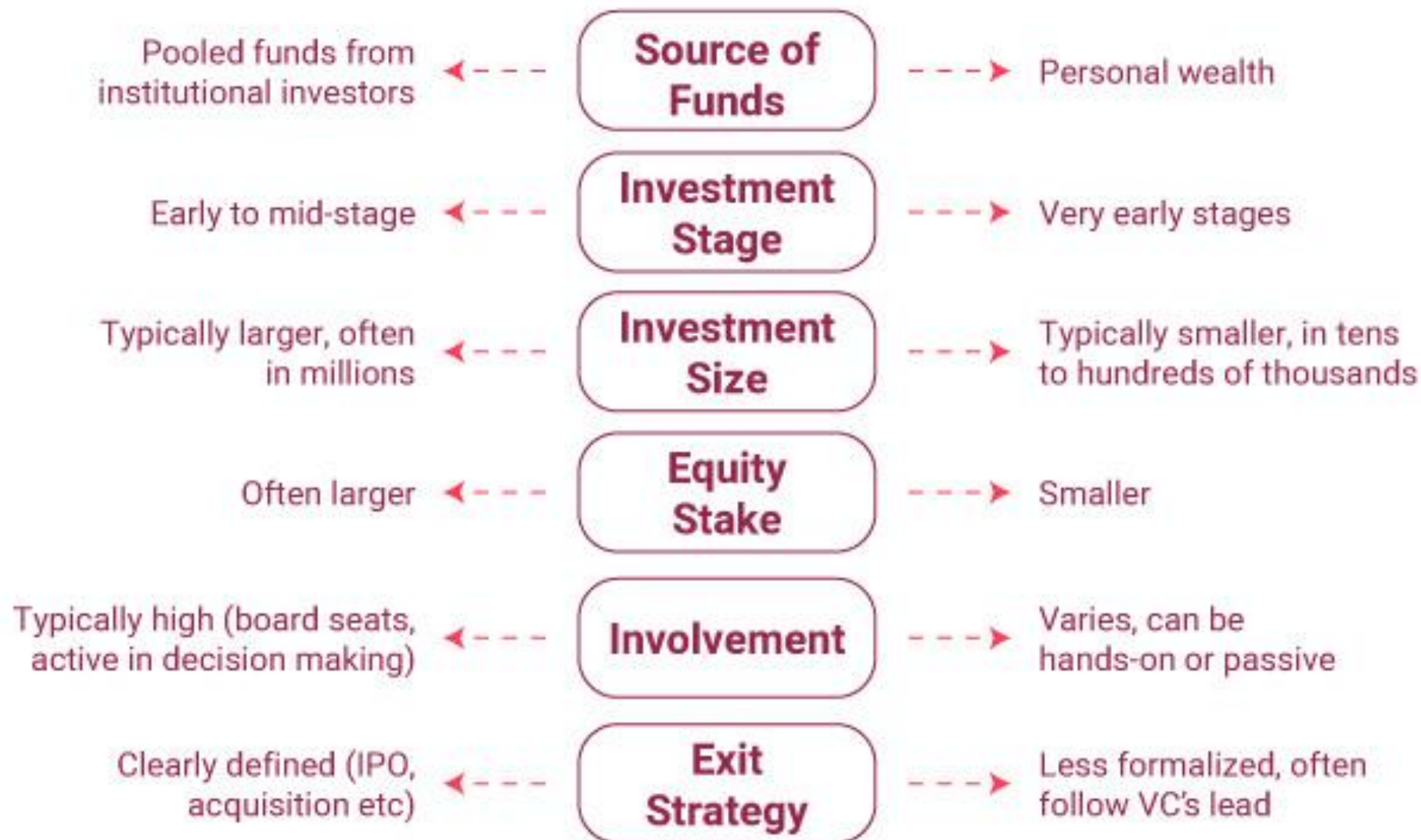
- VC funding provides significant capital to scale product, hire, grow, expand markets.
- But along with capital comes **governance demands, investor reporting, growth pressures, and dilution**.
- To attract VCs, you need **solid traction data, realistic projections, scalable business model, and a strong founding team**.
- Strategic considerations: ensure **board composition, shareholding structure, exit strategy, and growth pacing** fit your long-term vision.
- Use VC funds wisely — for systemic investments (technology, talent, operations) — rather than unsustainable burn — to build real competitive advantage.



Venture Capital

vs

Angel Investors



Extra Supporting Materials

What Is Feasibility Analysis?

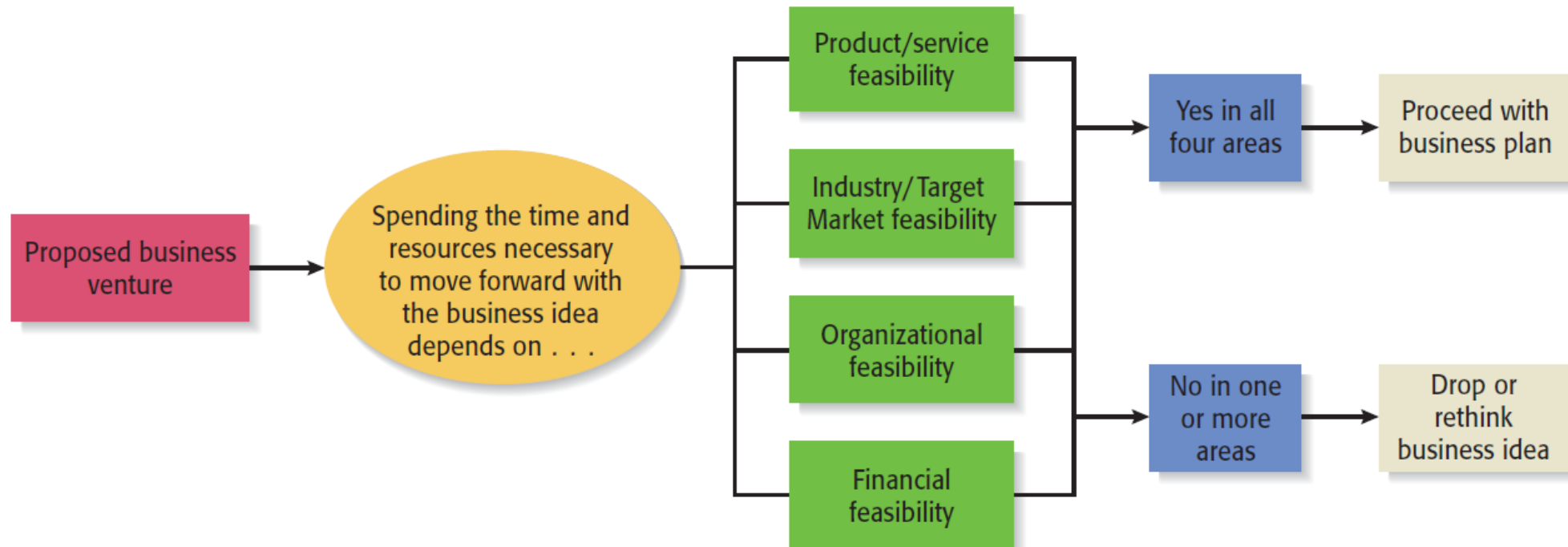
- Feasibility analysis is the process of determining whether a business idea is viable.
- It is the preliminary evaluation of a business idea, conducted for the purpose of determining whether the idea is worth pursuing.
- Feasibility analysis takes the guesswork (to a certain degree) out of a business launch, and provides an entrepreneur with a more secure notion that a business idea is feasible or viable.
- When To Conduct a Feasibility Analysis

When To Conduct a Feasibility Analysis

- Timing of Feasibility Analysis
 - The proper time to conduct a feasibility analysis is early in thinking through the prospects for a new business.
 - The thought is to screen ideas before a lot of resources are spent on them.
 - It follows the opportunity recognition stage and comes before the development of a business plan
- Components of a Properly Conducted Feasibility Analysis
 - A properly conducted feasibility analysis includes four separate components, as discussed in the following slides.

Feasibility Analysis

Role of feasibility analysis in developing business ideas.



- ✓ Although the sequence pictured makes perfect sense, statistics show that the majority of entrepreneurs do not follow this pattern before launching their ventures.
- ✓ Several studies have investigated why this is the case. The consensus of the research is that entrepreneurs tend to underestimate the amount of competition there will be in the marketplace and tend to overestimate their personal chances for success.
- ✓ Before a company undertakes a feasibility analysis, a concept statement should be developed.

Forms of Feasibility Analysis

Product/Service Feasibility

Industry/Target Market
Feasibility

Organizational Feasibility

Financial Feasibility

Outline for a Comprehensive Feasibility Analysis

TABLE 3.1 **FEASIBILITY ANALYSIS**

Part 1: Product/Service Feasibility

- A. Product/service desirability
- B. Product/service demand

Part 2: Industry/Target Market Feasibility

- A. Industry attractiveness
- B. Target market attractiveness

Part 3: Organizational Feasibility

- A. Management prowess
- B. Resource sufficiency

Part 4: Financial Feasibility

- A. Total start-up cash needed
- B. Financial performance of similar businesses
- C. Overall financial attractiveness of the proposed venture

Overall Assessment

Product/Service Feasibility Analysis

Product/Service Feasibility Analysis

Purpose

- Is an assessment of the overall appeal of the product or service being proposed.
- Before a prospective firm rushes a new product or service into development, it should be sure that the product or service is what prospective customers want.

Product/Service Feasibility Analysis

Components of product/service
feasibility analysis

Product/Service
Desirability

Product/Service
Demand

Product/Service Desirability

First, ask the following questions to determine the basic appeal of the product or service.

- Does it make sense? Is it reasonable? Is it something consumers will get excited about?
- Does it take advantage of an environmental trend, solve a problem, or take advantage of a gap in the marketplace?
- Is this a good time to introduce the product or service to the market?
- Are there any fatal flaws in the product or service's basic design or concept?

Product/Service Desirability

2 of 3

- Second, Administer a Concept Test
 - A concept statement should be developed.
 - A concept statement is a one-page description of a business that is distributed to people who are asked to provide feedback on the potential of the business idea.
 - The feedback will hopefully provide the entrepreneur:
 - A sense of the viability of the product or service idea.
 - Suggestions for how the idea can be strengthened or “tweaked” before proceeding further.

Product/Service Desirability

New Venture Fitness Drink's Concept Statement

New Business Concept New Venture Fitness Drinks Inc.

Product

New Venture Fitness Drinks will sell delicious, nutrition-filled, all-natural fitness drinks to thirsty sports enthusiasts. The drinks will be sold through small storefronts (600 sq. ft.) that will be the same size as popular smoothie restaurants. The drinks were formulated by Dr. William Peters, a world-renowned nutritionist, and Dr. Michelle Smith, a sports medicine specialist, on behalf of New Venture Fitness Drinks and its customers.

Target Market

In the first three years of operation, New Venture Fitness Drinks plans to open three or four restaurants. They will all be located near large sports complexes that contain soccer fields and softball diamonds. The target market is sports enthusiasts.

Why New Venture Fitness Drinks?

The industry for sports drinks continues to grow. New Venture Fitness Drinks will introduce exciting new sports drinks that will be priced between \$1.50 and \$2.50 per 16-ounce serving. Energy bars and other over-the-counter sports snacks will also be sold. Each restaurant will contain comfortable tables and chairs (both inside and outside) where sports enthusiasts can congregate after a game. The atmosphere will be fun, cheerful, and uplifting.

Special Feature—No Other Restaurant Does This

As a special feature, New Venture Fitness Drinks will videotape select sporting events that take place in the sports complexes nearest its restaurants and will replay highlights of the games on video monitors in their restaurants. The "highlight" film will be a 30-minute film that will play continuously from the previous day's sporting events. This special feature will allow sports enthusiasts, from kids playing soccer to adults in softball leagues, to drop in and see themselves and their teammates on television.

Management Team

New Venture Fitness Drink is led by its cofounders, Jack Petty and Peggy Wills. Jack has 16 years of experience with a national restaurant chain, and Peggy is a certified public accountant with seven years of experience at a Big 4 accounting firm.

Product/Service Demand

- Product/Service Demand
 - There are two steps to assessing product/service demand.
 - Step 1: Talking Face-to-Face with Potential Customers.
 - Step 2: Using Online Tools, Such as Google AdWords and Landing Pages, To Assess Demand.

Product/Service Demand

- Talking Face-to-Face with Potential Customers
 - The only way to know if your product or service is what people want is by talking to them.
 - The idea is to gauge customer reaction to the general concept of what you want to sell, and tweak, revise, and improve on the idea based on the feedback.
 - In some cases, talking with potential customers will cause an entrepreneur to abandon an idea.
 - Entrepreneurs are often surprised to find that a product idea they think solves a problem gets lukewarm reception when they talk to actual customers.

Product/Service Demand

- Utilizing Online Tools, Such as Google AdWords and Landing Pages, to Assess Demand
 - The second way to assess demand is to utilize online tools to gauge reaction from potential customers.
 - Some entrepreneurs purchase text ads on search engines that show up when a user is searching for a product that is close to their idea. If the searcher clicks on the text ad, they are directed to a landing page that describes the idea. There may be a link on the landing page that says “For future updates please enter your e-mail address.” Demand for the idea can be assessed by how many people click on the text ad and enter their e-mail address.

Product/Service Demand

- Utilizing Online Tools, Such as Google AdWords and Landing Pages, to Assess Demand (continued)
 - A variety of additional online tools are available to help assess the demand for a new product or service.
 - Examples include:
 - Sites that provide feedback on business ideas (Foundersuite, Quirky).
 - Market Research (CrowdPicker, Google Trends).
 - Online Surveys (Survey Monkey, Google Consumer Surveys).
 - Q&A Sites (Quora, Stack Overflow).

Industry/Target Market Feasibility Analysis

Industry/Target Market Feasibility Analysis

Purpose

- Is an assessment of the overall appeal of the industry and the target market for the proposed business.
- An industry is a group of firms producing a similar product or service.
- A firm's target market is the limited portion of the industry it plans to go after.

Industry/Target Market Feasibility Analysis

Components of industry/target market
feasibility analysis

Industry Attractiveness

Target Market
Attractiveness

Industry Attractiveness

1 of 2

- Industry Attractiveness
 - Industries vary in terms of their overall attractiveness.
 - In general, the most attractive industries have the characteristics depicted on the next slide.
 - Particularly important—the degree to which environmental and business trends are moving in favor rather than against the industry.

Industry Attractiveness

2 of 2

Characteristics of Attractive Industries

- Are young rather than old.
- Are early rather than late in their life cycle.
- Are fragmented rather than concentrated.
- Are growing rather than shrinking.
- Are selling products and services that customers “must have” rather than “want to have.”
- Are not crowded.
- Have high rather than low operating margins.
- Are not highly dependent on the historically low price of key raw materials.

Target Market Attractiveness

- Target Market Attractiveness
 - The challenge in identifying an attractive target market is to find a market that's large enough for the proposed business but is yet small enough to avoid attracting larger competitors.
 - Assessing the attractiveness of a target market is tougher than assessing the attractiveness of an entire industry.
 - Often, considerable ingenuity must be employed to find information to assess the attractiveness of a specific target market.

Organizational Feasibility Analysis

1 of 2

Organizational Feasibility Analysis

Purpose

- Is conducted to determine whether a proposed business has sufficient management expertise, organizational competence, and resources to successfully launch a business.
- Focuses on non-financial resources.

Organizational Feasibility Analysis

2 of 2

Components of organizational feasibility analysis

Management Prowess

Resource Sufficiency

Management Prowess

- Management Prowess
 - A proposed business should candidly evaluate the prowess, or ability, of its management team to satisfy itself that management has the requisite passion and expertise to launch the venture.
 - Two of the most important factors in this area are:
 - The passion that the sole entrepreneur or the founding team has for the business idea.
 - The extent to which the sole entrepreneur or the founding team understands the markets in which the firm will participate.

Resource Sufficiency

1 of 2

- Resource Sufficiency
 - This topic pertains to an assessment of whether an entrepreneur has sufficient resources to launch the proposed venture.
 - To test resource sufficiency, a firm should list the 6 to 12 most critical nonfinancial resources that will be needed to move the business idea forward successfully.
 - If critical resources are not available in certain areas, it may be impractical to proceed with the business idea.

Resource Sufficiency

2 of 2

Examples of nonfinancial resources that may be critical to the successful launch of a new business

- Affordable office space.
- Lab space, manufacturing space, or space to launch a service business.
- Availability of contract manufacturers or service providers.
- Key management employees (now and in the future).
- Key support personnel (now and in the future).
- Ability to obtain intellectual property protection.
- Ability to form favorable business partnerships.

Financial Feasibility Analysis

1 of 2

Financial Feasibility Analysis

Purpose

- Is the final component of a comprehensive feasibility analysis.
- A preliminary financial assessment is sufficient.

Financial Feasibility Analysis

2 of 2

Components of financial feasibility analysis

Total Start-Up Cash
Needed

Financial Performance of
Similar Businesses

Overall Financial
Attractiveness of the
Proposed Venture

Total Start-Up Cash Needed

- Total Start-Up Cash Needed
 - The first issue refers to the total cash needed to prepare the business to make its first sale.
 - An actual budget should be prepared that lists all the anticipated capital purchases and operating expenses needed to generate the first \$1 in revenues.
 - The point of this exercise is to determine if the proposed venture is realistic given the total start-up cash needed.

Financial Performance of Similar Businesses

- Financial Performance of Similar Businesses
 - Estimate the proposed start-up's financial performance by comparing it to similar, already established businesses.
 - There are several ways to doing this, all of which involve a little ethical detective work.
 - First, there are many reports available, some for free and some that require a fee, offering detailed industry trend analysis and reports on thousands of individual firms.
 - Second, simple observational research may be needed. For example, the owners of New Venture Fitness Drinks could estimate their sales by tracking the number of people who patronize similar restaurants and estimating the average amount each customer spends.

Overall Financial Attractiveness of the Proposed Venture

1 of 2

- Overall Financial Attractiveness of the Proposed Investment
 - A number of other financial factors are associated with promising business start-ups.
 - In the feasibility analysis stage, the extent to which a business opportunity is positive relative to each factor is based on an estimate rather than actual performance.
 - The table on the next slide lists the factors that pertain to the overall attractiveness of the financial feasibility of the business idea.

Overall Financial Attractiveness of the Proposed Venture

2 of 2

Financial Factors Associated With Promising Business Opportunities

- Steady and rapid growth in sales during the first 5 to 7 years in a clearly defined market niche.
- High percentage of recurring revenue—meaning that once a firm wins a client, the client will provide recurring sources of revenue.
- Ability to forecast income and expenses with a reasonable degree of certainty.
- Internally generated funds to finance and sustain growth.
- Availability of an exit opportunity for investors to convert equity to cash.

Financial Feasibility Analysis

1 of 2

Financial Feasibility Analysis

Purpose

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Financial Feasibility Analysis

2 of 2

Components of financial feasibility analysis

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